

EM & APAC Equity Strategy

Q226 wrap: EM Earnings Stay Resilient, but still narrow

Equity Strategy

Global

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Strong earnings momentum continues

EM corporates delivered another strong earnings season, with index-weighted EPS surprises of +14% ([Figure 1](#)), the strongest beat in more than a decade. ~55% of companies beat consensus expectations ([Figure 10](#)), while revenue growth remained robust at c.26% YoY ([Figure 36](#)) and operating profit growth accelerated to 88% YoY ([Figure 39](#)), significantly ahead of the US at 46% YoY. While technology remains the primary driver of earnings growth, the improvement is no longer confined to the sector. EM EPS excluding Technology grew by 28% YoY in Q2 ([Figure 54](#)), while ex-Tech operating margins surpassed prior cycle peaks. Technology ROIC remains roughly 2.5-3x higher than the rest of the market ([Figure 56](#)), underscoring the continued importance of semiconductors, technology hardware and AI-related investment in driving EM earnings.

Earnings Growth Is Increasingly Concentrated

North Asia continues to dominate the EM earnings cycle. Korea and Taiwan accounted for the largest share of earnings growth ([Figure 46](#)) and estimate upgrades ([Figure 3](#)), with EM 2027 EPS forecasts revised higher by 10% during the quarter. Korea, Vietnam and South Africa recorded the strongest earnings growth, while Indonesia lagged. At the sector level, Semiconductors, Technology Hardware & Equipment, and Metals & Mining contributed over 60% of index-level earnings growth, highlighting the narrow leadership within the current earnings cycle. In contrast, earnings momentum in India and Indonesia remained relatively subdued.

Profitability and Balance Sheets Continue to Improve

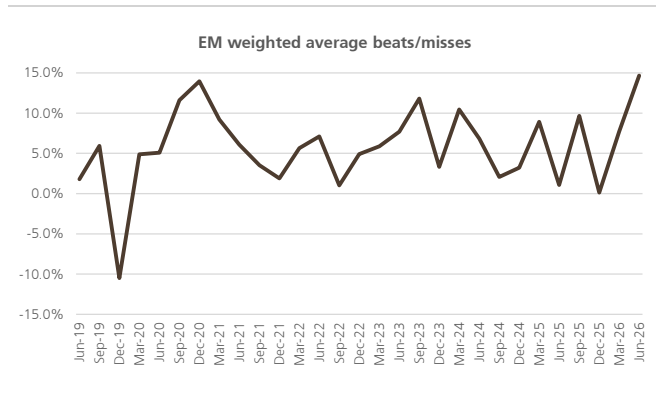
The quality of earnings growth improved further in Q2, with stronger revenues translating into margin expansion and operating leverage across most sectors. EM ROE has risen to around 27% ([Figure 57](#)), while ROIC has improved to 42% (pre-tax) ([Figure 64](#)), both near historical highs. Stronger balance sheets are a differentiator for EM corporates vs US peers. Net debt-to-equity dropped to 0.08x versus 0.47x in the US ([Figure 62](#)), supported by strong cash generation and conservative leverage. Improving profitability, healthy balance sheets and positive earnings revisions provide a supportive backdrop for EM equities heading into 2027. With global yields likely to remain higher for longer, EM corporates' low leverage and improving capital efficiency should continue to support earnings resilience and relative performance.

Country Preferences: Staying Selective Within EM

We remain constructive on EM equities, supported by improving earnings revisions, stronger balance sheets and structural AI tailwinds. Korea remains our highest-conviction Overweight, driven by a sustainable memory cycle, governance reforms and attractive valuations. China is another key Overweight, supported by broadening earnings growth and accelerating domestic AI investment. Brazil remains a preferred market given attractive valuations and asymmetric risk-reward ahead of elections. We remain Underweight India, where valuations continue to discount optimistic outcomes despite a more moderate earnings outlook, and Underweight Mexico, where slowing growth and USMCA uncertainty constrain the risk-reward. Overall, Korea, China and Brazil remain our preferred EM markets into year-end.

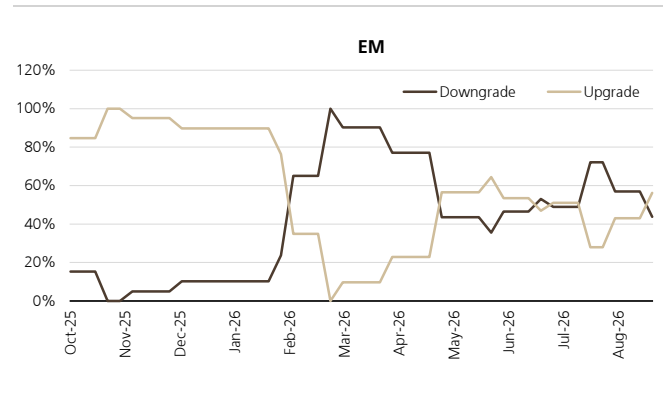
Summary in charts

Figure 1: On an index-weighted basis, EM companies beat consensus estimates by 14%



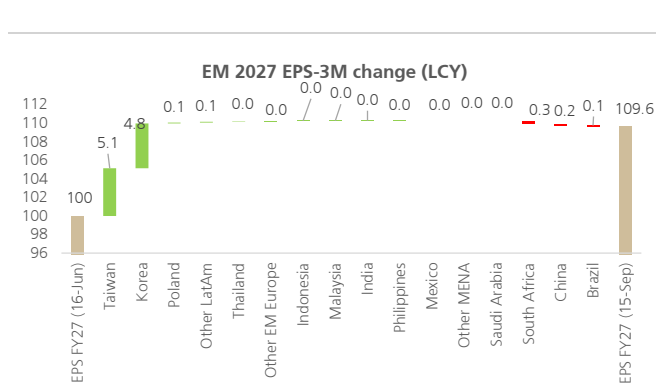
Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 2: 56% of EM companies recorded 2026F EPS upgrades.



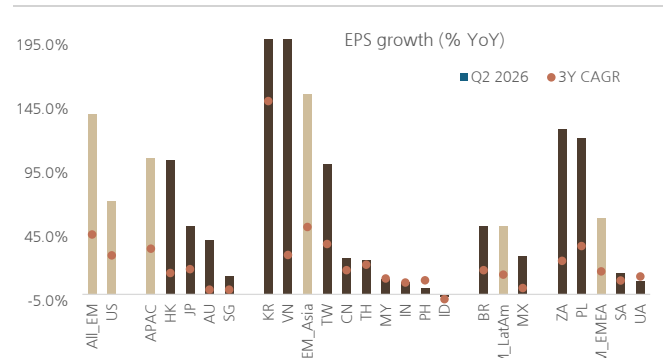
Source: MSCI, Datastream, IBES, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 3: EM EPS for 2027F was upgraded by 10%



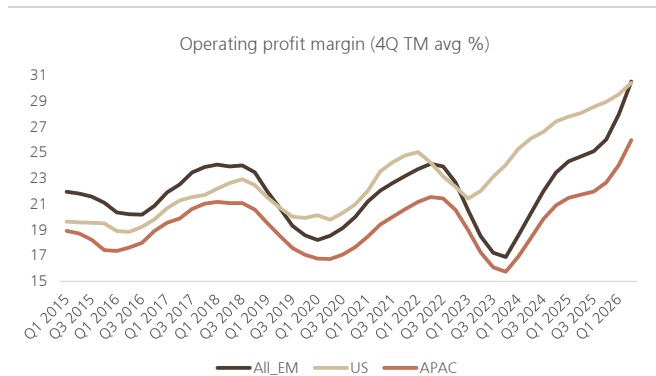
Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 4: EM EPS for Q2 26 grew 2x faster; driven by Korea, Taiwan and South Africa



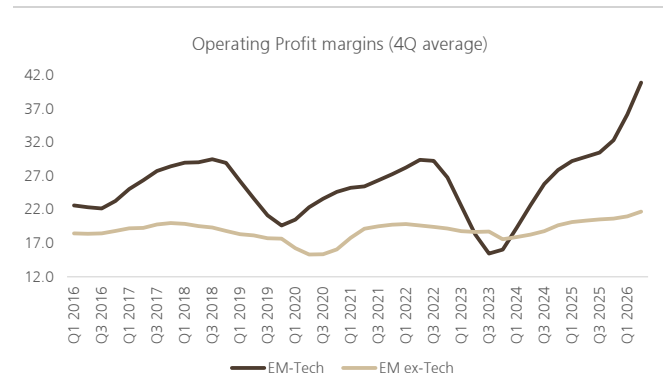
Source: MSCI, Datastream, UBS

Figure 5: EM operating margins are close to US levels...



Source: MSCI, Datastream, UBS

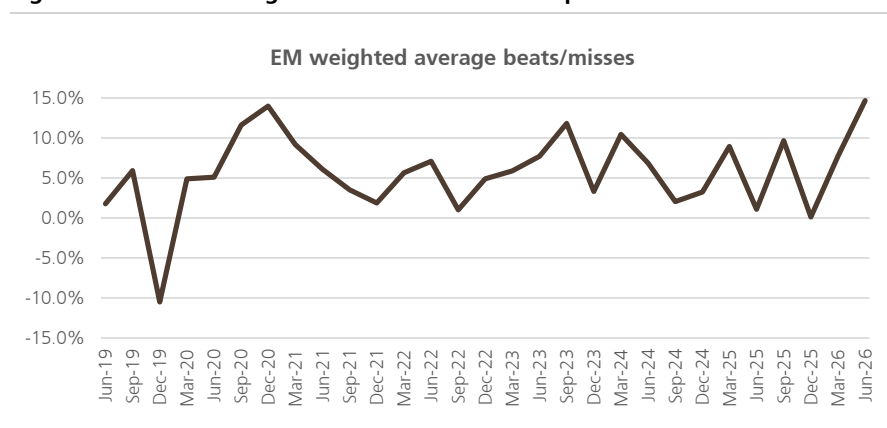
Figure 6: ...largely driven by the technology sector



Source: MSCI, Datastream, UBS

Beats vs misses: Q226 exceeded consensus expectations

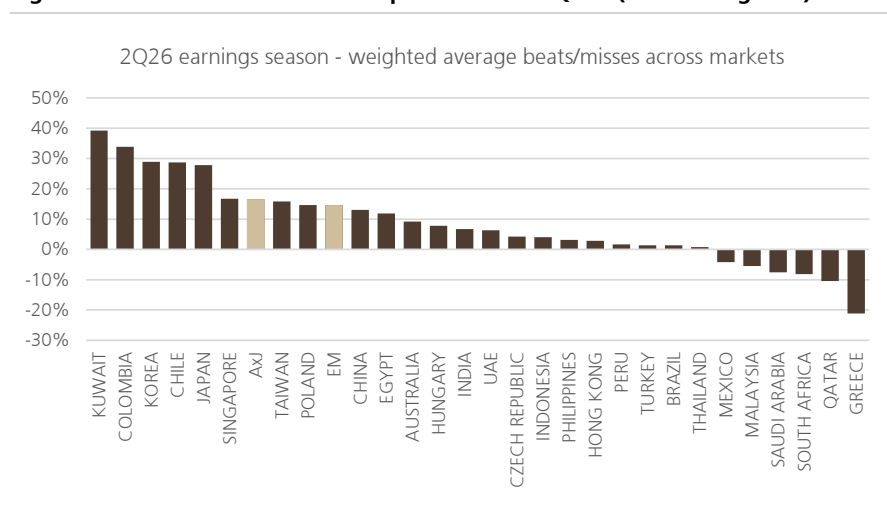
Figure 7: EM index weighted actual vs sell-side expectations



Source: IBES, MSCI, Datastream, UBS

On an index-weighted basis (see [here](#) for more details), EM companies beat consensus earnings estimates by 14%, the sharpest uptick in over a decade.

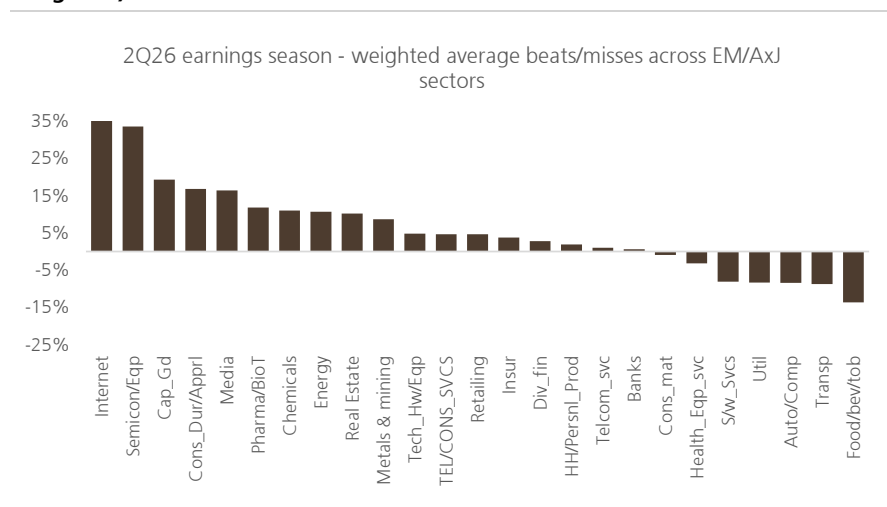
Figure 8: Actual vs sell-side EPS expectations for Q226 (index-weighted)



Source: IBES, MSCI, Datastream, UBS

Amongst the large markets, Korea and Taiwan led the beats, while South Africa, Saudi and Malaysia were the biggest drags.

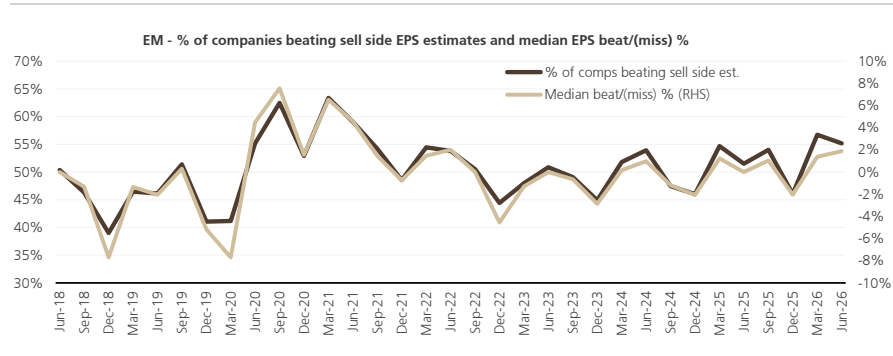
Figure 9: EM/AxJ sectors – Actual vs sell-side EPS expectations for Q226 (index-weighted)



Source: IBES, MSCI, Datastream, UBS

Internet, semicon and capital goods had the biggest beats, while food & bev, transportation and autos had the biggest misses.

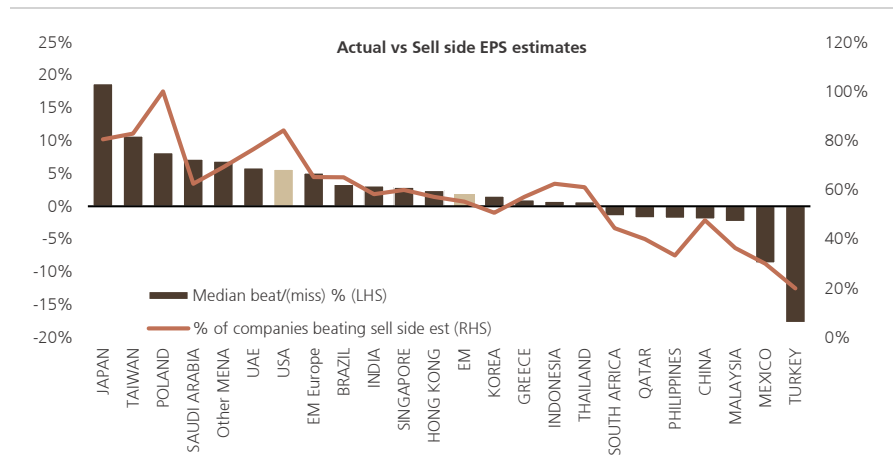
Figure 10: EM consensus sell-side EPS beats vs misses



Source: MSCI, Datastream, IBES, UBS

55% of EM companies beat consensus EPS estimates in Q2 26, the median beat has risen to 1.9%.

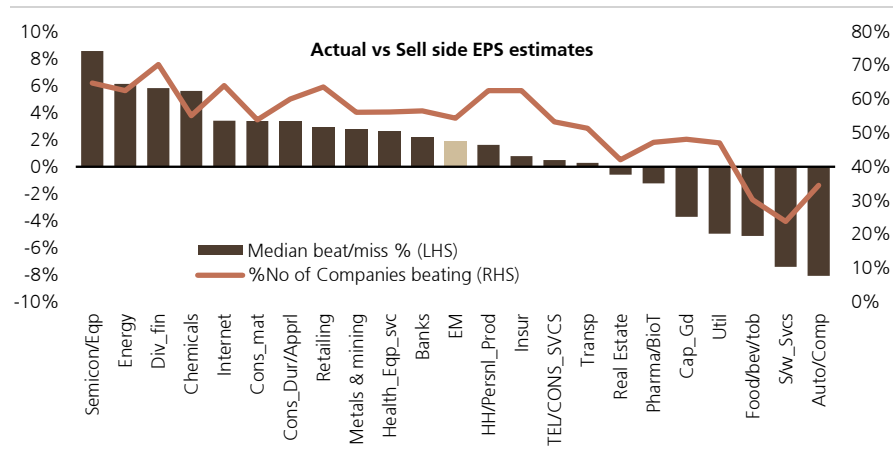
Figure 11: Consensus sell-side median EPS beats vs misses in Q226 by market



Source: MSCI, Datastream, IBES, UBS

On a median basis, Taiwan, Poland and Saudi Arabia witnessed broad-based beats while Mexico, Malaysia and China underperformed.

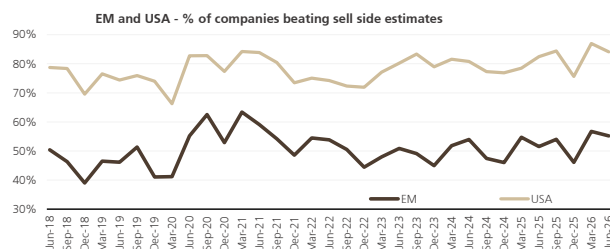
Figure 12: Consensus sell-side median EPS beats vs misses in Q226 by EM sector



Source: MSCI, Datastream, IBES, UBS

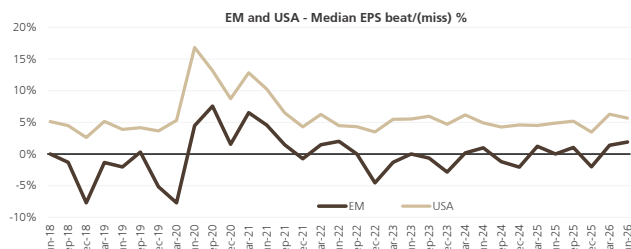
Semicon, energy and diversified finance sectors posted beats; while auto, software services and food & beverages had misses.

Figure 13: EM & US: % of companies beating sell-side estimates



Source: MSCI, Datastream, IBES, UBS

Figure 14: EM & US median EPS beat/(miss)



Source: MSCI, Datastream, IBES, UBS

Figure 15: Q2 26 earnings estimates beats vs miss snapshot: EM/APAC markets

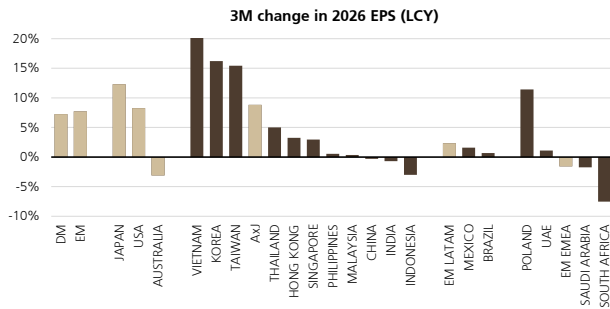
Market	% reported	% of stocks that beat	weighted index beats/ (misses)	% yoy EPS growth delivered in the quarter	3M EPS change		3m Index performance	Currency appreciation/depreciation	
					2026	2027		3m change	y/y change
EM	56%	61%	8.1%	48.8%	13.8%	19.0%	8%	-0.4%	1.57%
AxJ	45%	61%	8.2%	53.6%	-4.3%	-1.3%	11%	-0.6%	1.47%
AUSTRALIA*	34%	65%	0.0%	28.0%	6.8%	5.2%	-2%	3.6%	1.36%
BRAZIL	98%	64%	-4.6%	15.2%	14.7%	6.8%	-7%	5.2%	4.01%
CHINA	15%	65%	-6.6%	19.0%	-0.6%	3.1%	-7%	1.9%	0.49%
HONG KONG*	64%	50%	-3.7%	144.9%	0.8%	-1.9%	1%	-0.4%	-0.06%
INDIA	98%	57%	9.8%	10.7%	-5.3%	-4.8%	-9%	-3.7%	0.68%
INDONESIA	91%	50%	-9.3%	2.2%	-7.4%	-8.5%	-30%	-2.8%	-1.79%
JAPAN*	96%	81%	18.2%	15.3%	5.7%	9.0%	1%	-1.8%	5.84%
KOREA	100%	47%	23.1%	96.7%	35.5%	34.0%	38%	-2.4%	1.83%
MALAYSIA	14%	100%	-16.7%	16.3%	0.5%	-1.3%	-2%	0.9%	2.31%
MEXICO	95%	30%	16.9%	48.3%	3.9%	0.5%	-3%	0.7%	3.29%
PHILIPPINES	100%	30%	4.9%	7.1%	-4.6%	-1.9%	-10%	-3.1%	3.10%
POLAND	44%	100%	-4.2%	13.2%	6.5%	7.2%	7%	-1.7%	6.63%
SAUDI ARABIA	100%	63%	21.5%	13.9%	4.8%	3.3%	1%	-0.04%	0.04%
SINGAPORE*	87%	50%	12.0%	27.5%	-3.6%	-2.4%	0%	0.04%	2.94%
SOUTH AFRICA	15%	25%	-4.5%	57.1%	5.6%	5.6%	-11%	-1.5%	0.62%
TAIWAN	75%	89%	8.2%	61.6%	11.4%	17.9%	27%	-0.6%	3.41%
THAILAND	94%	61%	14.4%	33.7%	5.8%	4.1%	3%	-3.4%	1.85%

Source: MSCI, Datastream, UBS. Note: 1) % reported column is based on MSCI index universe; 2) * Markets not part of MSCI EM; 3) calculated on the basis of index-weighted methodology ([video link](#)); 4) EPS earnings growth, 3M earnings change and 3M performance are calculated in US\$; and 5) currency appreciation/depreciation is local currency with respect to US\$.

EM earnings momentum picks up

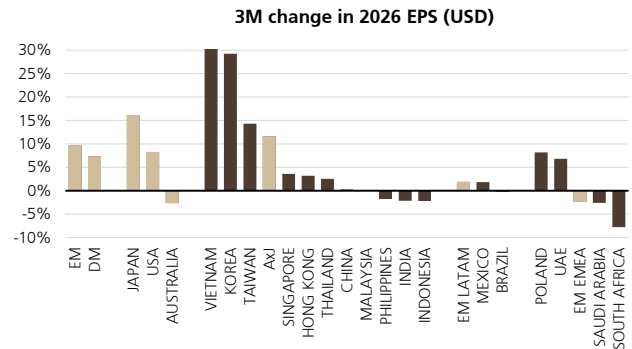
2026F EM local currency (LCY) earnings were upgraded 8% over the past three months. By market, Korea and Taiwan saw the biggest upgrades, while South Africa, Indonesia and Saudi and India have seen earnings cut. A similar trend was seen in US-dollar terms.

Figure 16: 2026F EPS: Change in 3m (LCY)



Source: IBES, MSCI, Datastream, UBS. Note: Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

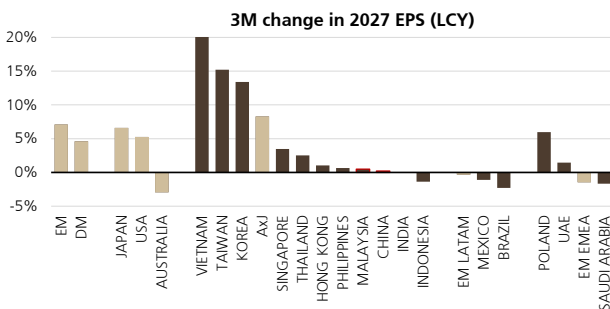
Figure 17: 2026F EPS: Change in 3m (US\$)



Source: IBES, MSCI, Datastream, UBS. Note: Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

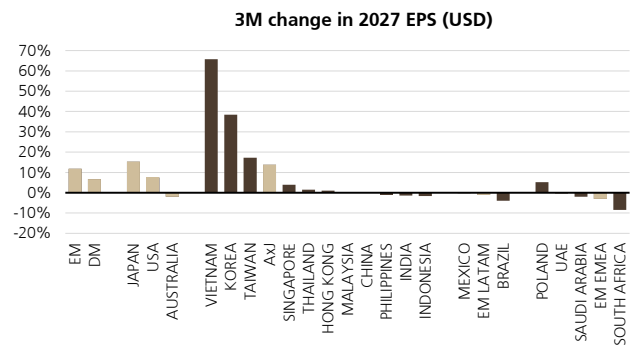
2027F EM LCY earnings were also upgraded more than 7% over the past three months. Taiwan and Korea led the positive earnings momentum, while Brazil, Saudi and Indonesia had earnings cuts. A similar trend was mostly seen in US-dollar terms.

Figure 18: 2027F EPS: Change in 3m (LCY)



Source: IBES, MSCI, Datastream, UBS. Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

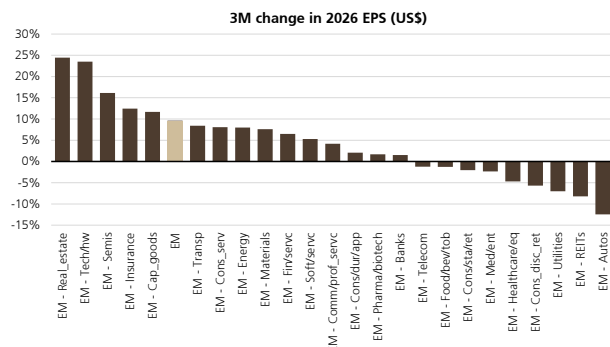
Figure 19: 2027F EPS: Change in 3m (US\$)



Source: IBES, MSCI, Datastream, UBS. Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

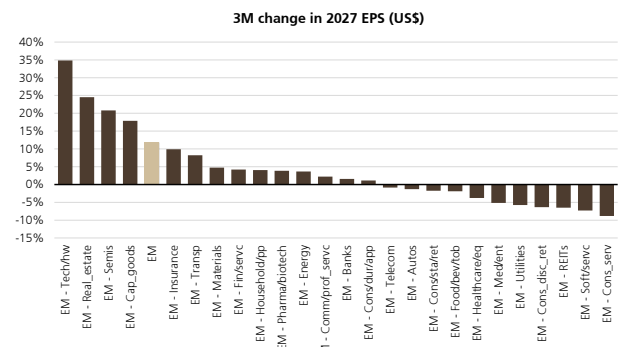
In sector terms, in 2026F and 2027F, real estate, tech (hardware & semis), and cap goods recorded the biggest upgrades, while REITs recorded sharp downgrades.

Figure 20: 2026F EPS: Change in 3m (US\$)



Source: IBES, MSCI, Datastream, UBS. Note: Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

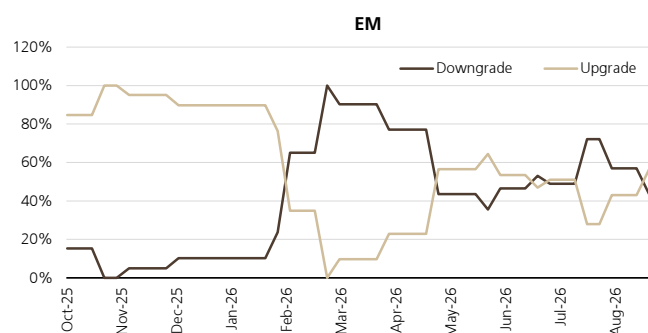
Figure 21: 2027F EPS: Change in 3m (US\$)



Source: IBES, MSCI, Datastream, UBS. Note: Japan and Australia are part of DM. Calculated on the basis of index-weighted methodology ([video link](#))

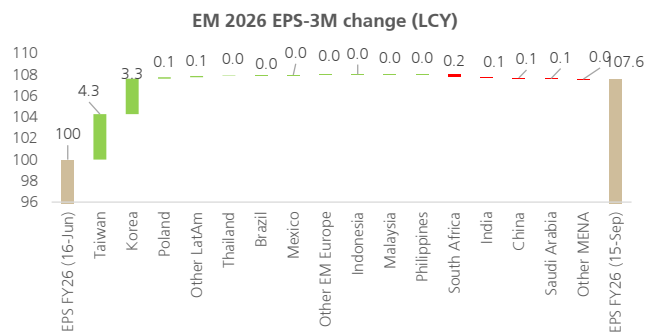
56% of EM companies recorded 2026F EPS upgrades. At the aggregate level, Taiwan and Korea were the biggest contributors to EM EPS upgrades.

Figure 22: 2026F 3m EPS (LCY) upgrade/downgrade



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

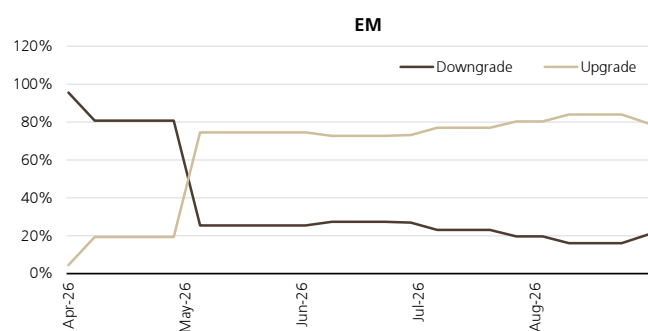
Figure 23: 2026F 3m EPS change



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

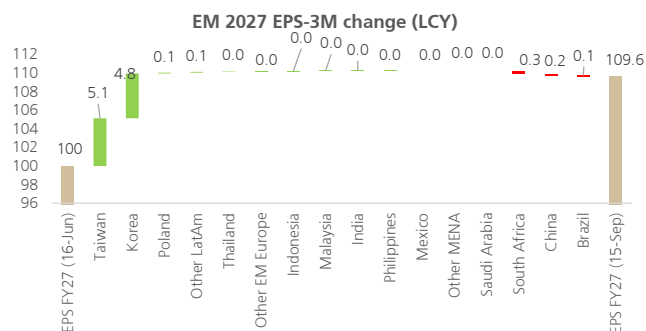
79% of EM companies recorded 2027F EPS upgrades. At the aggregate level Taiwan and Korea were the biggest contributors to EM EPS upgrades.

Figure 24: 2027F 3m EPS (LCY) upgrade/downgrade



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 25: 2027F 3m EPS change



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Broad-based upgrades were seen in Taiwan while downgrades were concentrated in Mexico, Indonesia and India

Figure 26: 2026F 3m EPS (LCY) change: sub-sector performance

2026 EPS (3m change)															
Real Estate 22.04%	Energy 151.53%	Energy 84.40%	Materials 53.12%	Energy 19.85%	Energy 33.62%	Energy 33.46%	Materials 11.95%	Materials 34.99%	Materials 9.38%	Cons Staples 5.00%	Materials 10.38%	Utilities 3.41%	Materials 22.93%	Cons Staples 8.26%	
Info Tech 14.87%	Info Tech 95.69%	Cons Disc 33.04%	Financials 15.37%	Info Tech 17.59%	Comm Svs 13.46%	Materials 7.28%	Comm Svs 6.80%	Cons Staples 7.60%	Cons Staples 1.82%	Financials 1.39%	Info Tech 1.36%	Cons Disc 0.00%	Energy 18.29%	Info Tech 11.37%	Cons Staples 0.17%
Materials 7.54%	Industrials 28.27%	Cons Staples 2.60%	Health Care 7.73%	Materials 11.94%	Materials 6.55%	Cons Disc 1.34%	Real Estate 0.00%	Cons Disc 0.00%	Real Estate 0.23%	Industrials 1.29%	Utilities 0.07%	Cons Disc -1.20%	Financials 0.16%	Health Care -3.87%	Cons Staples 8.26%
Industrials 6.67%	Cons Staples 8.68%	Materials 0.87%	Cons Disc 3.27%	Real Estate 2.17%	Cons Disc 1.19%	Real Estate 0.00%	Real Estate -2.27%	Health Care -0.59%	Comm Svs -3.13%	Real Estate 0.07%	Cons Disc -1.98%	Industrials -0.85%	Industrials -1.91%	Comm Svs -6.42%	Industrials -0.41%
Financials 3.19%	Financials 7.36%	Info Tech 0.00%	Comm Svs 0.22%	Utilities 0.00%	Utilities -4.85%	Utilities -0.28%	Industrials -4.00%	Utilities -1.78%	Real Estate -4.18%	Comm Svs -5.39%	Cons Disc -5.39%	Health Care -3.31%	Health Care -3.87%	Real Estate -0.70%	Real Estate -0.70%
EM 7.71%	Health Care -2.02%	BR 12.10%	TW 10.75%	TH 8.08%	PL 5.83%	SA 4.86%	ZA 4.75%	MY 2.60%	MX 2.39%	HK 0.92%	ID -1.13%	IN -2.06%	CN -2.35%	SG -2.99%	
Health Care -0.66%	Cons Disc -3.08%	Comm Svs -0.76%	Cons Staples -5.06%	Cons Staples -1.95%	Financials -0.18%	Utilities -4.80%	Industrials -4.00%	Financials -0.59%	Comm Svs -3.13%	Cons Disc -5.39%	Financials -1.20%	Real Estate -0.85%	Industrials -1.91%	Comm Svs -6.42%	Industrials -0.41%
Cons Staples -1.22%	Comm Svs -5.68%	Financials -1.52%	Health Care -6.20%	Cons Disc -2.96%	Industrials -4.80%	Cons Staples -7.84%	Health Care -3.94%	Health Care -0.81%	Real Estate -4.18%	Comm Svs -5.39%	Industrials -8.62%	Financials -1.66%	Health Care -3.87%	Real Estate -0.70%	Real Estate -0.70%
Comm Svs -2.81%	Materials -11.46%	Health Care -6.20%	Industrials -6.98%	Health Care -3.48%	Utilities -4.85%	Info Tech -11.69%	Health Care -3.94%	Utilities -1.78%	Industrials -3.34%	Comm Svs -5.39%	Cons Disc -10.97%	Cons Staples -2.03%	Comm Svs -6.42%	Real Estate -0.70%	Real Estate -0.70%
Cons Disc -6.06%	Utilities -30.95%	Industrials -6.98%		Industrials -4.62%	Info Tech -11.69%			Industrials -3.34%	Comm Svs -5.29%			Cons Disc -3.66%	Comm Svs -4.52%	Industrials -4.59%	Energy -9.86%
Utilities -6.75%															

Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

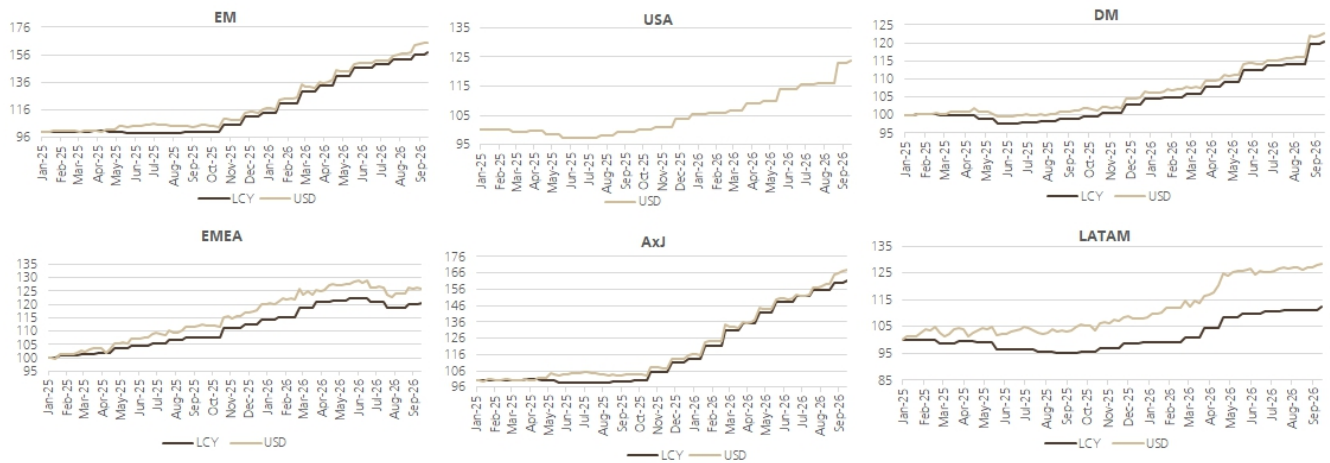
...as is the case for 2027F

Figure 27: 2027F 3m EPS (LCY) change: sub-sector performance

2027 EPS (3m change)															
Real Estate 22.22%	Info Tech 122.93%	Materials 50.69%	Energy 26.46%	Info Tech 16.65%	Materials 11.53%	Energy 38.10%	Energy 18.19%	Materials 20.36%	Materials 13.39%	Industrials 4.79%	Materials 2.77%	Cons Staples 7.20%	Cons Staples 0.77%	Cons Staples 5.66%	
Info Tech 21.09%	Energy 37.36%	Industrials 24.11%	Materials 7.45%	Utilities 8.56%	Comm Svs 6.04%	Cons Disc 8.24%	Cons Disc 10.43%	Info Tech 14.39%	Health Care 2.52%	Utilities 4.05%	Industrials 0.73%	Financials 0.16%	Real Estate 0.11%	Health Care -0.93%	Cons Staples 5.66%
Industrials 11.21%	Cons Staples 34.81%	Info Tech 17.24%	Health Care 16.09%	Real Estate 2.65%	Financials 1.03%	Cons Staples 2.37%	Materials 10.43%	Industrials 2.09%	Real Estate 2.52%	Financials 4.79%	Real Estate 0.49%	Cons Disc -1.79%	Utilities -2.01%	Industrials -1.85%	Industrials -1.85%
Energy 4.10%	Financials 7.93%	Financials 11.48%	Comm Svs 0.63%	Cons Disc -1.49%	Cons Disc -1.16%	Comm Svs -0.60%	Cons Disc -0.97%	Health Care -6.16%	Utilities -2.60%	Financials -4.88%	Cons Staples -0.99%	Health Care -1.01%	Health Care -1.01%	Financials -1.85%	Financials -1.85%
Financials 2.62%	Materials 2.39%	Comm Svs 0.63%	PL 6.53%	TH 6.33%	ZA 4.77%	BR 4.35%	SA 3.31%	CN 1.22%	MY 0.76%	PH 0.47%	MX -0.93%	SG -1.79%	HK -1.84%	ID -2.42%	Energy -1.78%
Health Care 1.19%	EM 9.84%	Cons Staples -1.40%	Comm Svs -0.90%	Cons Disc -1.37%	Health Care -2.13%	Utilities -25.34%	Cons Disc -5.22%	Health Care -3.28%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.15%	Cons Disc -9.15%	Cons Disc -9.15%	Cons Disc -9.15%	Cons Disc -9.15%
Cons Staples -1.40%	Comm Svs -0.90%	Cons Disc -1.37%	Health Care -2.13%	Utilities -25.34%	Cons Disc -5.22%	Health Care -3.28%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Disc -9.15%
Comm Svs -4.59%	Cons Disc -1.37%	Health Care -2.13%	Utilities -25.34%	Cons Disc -5.22%	Health Care -3.28%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%
Utilities -5.47%	Health Care -2.13%	Utilities -25.34%	Cons Disc -5.22%	Health Care -3.28%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Disc -9.15%
Cons Disc -5.59%	Utilities -25.34%	Cons Disc -5.22%	Health Care -3.28%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%	Cons Staples -9.61%	Cons Disc -9.15%

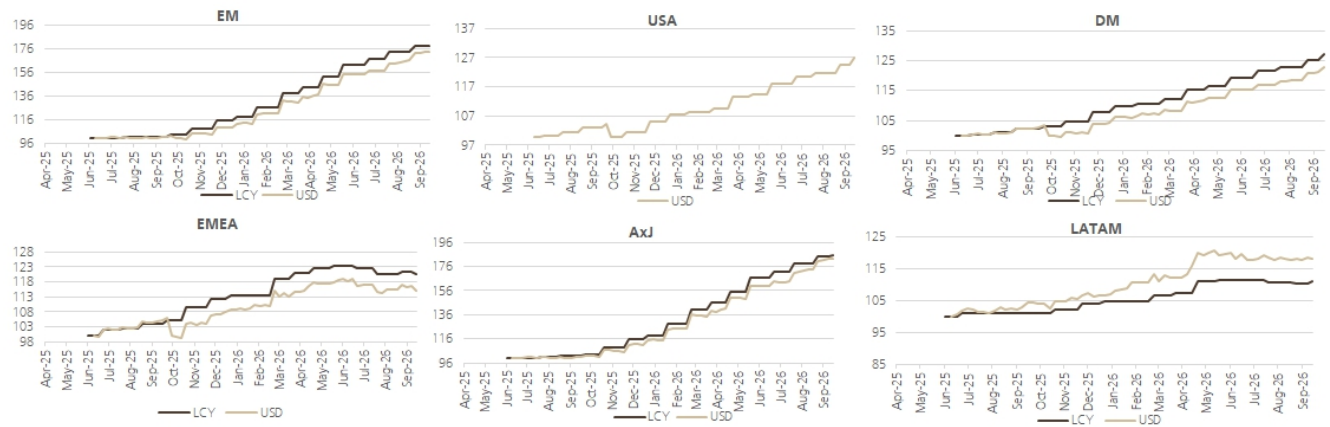
Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 28: 2026F EPS evolution across regions



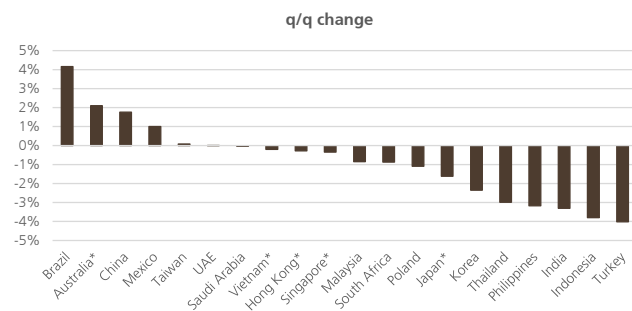
Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 29: 2027F EPS evolution across regions



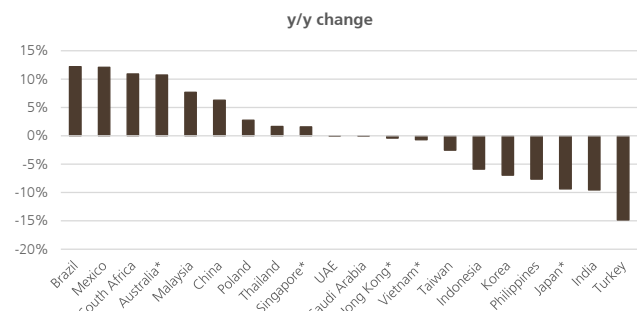
Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 30: Currency movement vs US\$ in Q226 – QoQ



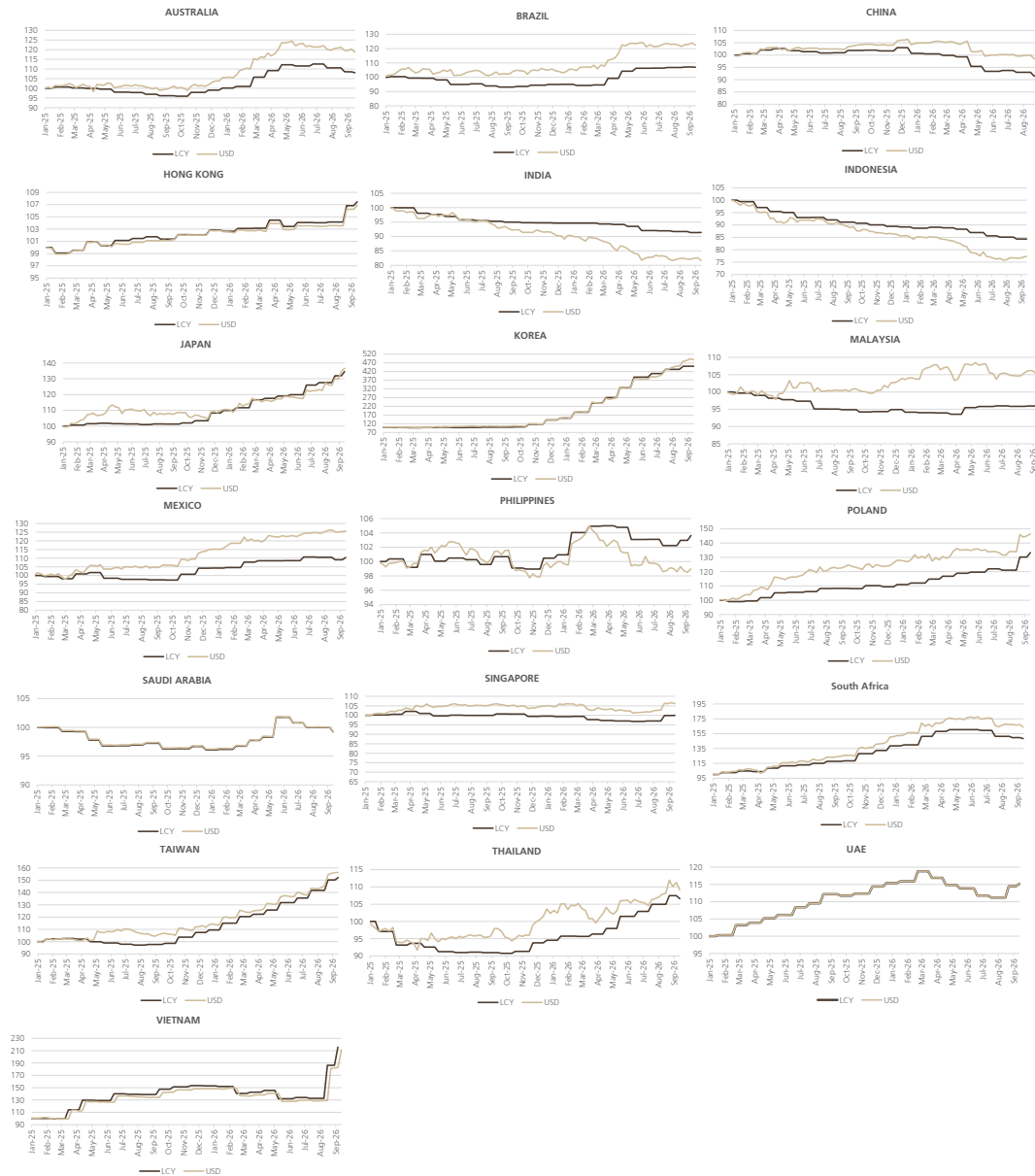
Source: Datastream, UBS. Note: Calculation on the basis of daily avg. data based on Q226

Figure 31: Currency movement vs US\$ in Q226 – YoY



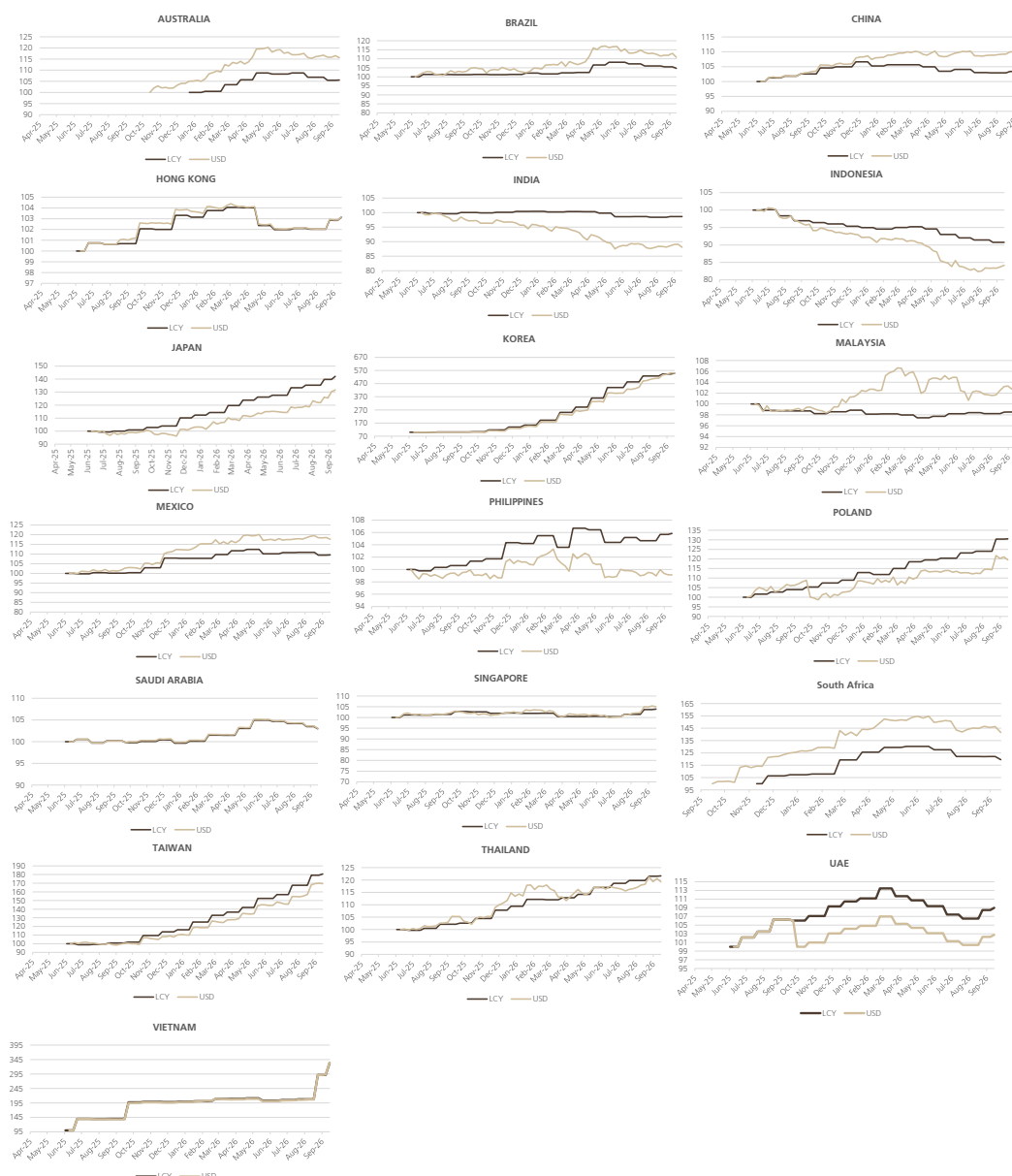
Source: Datastream, UBS. Note: Calculation on the basis of daily avg. data based on Q226

Figure 32: 2026F EPS evolution across markets – since the beginning of 2025, Korea, Japan, Taiwan and Poland notably have seen EPS upgrades, while India, Indonesia and China have recorded downgrades



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 33: 2027F EPS evolution across markets – Korea, Japan, Taiwan, Thailand and Poland have recorded sharp EPS upgrades



Source: IBES, MSCI, Datastream, UBS. Note: Calculated on the basis of index-weighted methodology ([video link](#))

Figure 34: Stocks upgraded to Buy/Neutral in the past 3m by UBS analysts

Upgraded to Buy								PE		PB	
Name	Market	Sector	New rating after upgrade	Mcap (USDmn)	Price	PT	Upside/downside	Latest	10y avg	Latest	10y avg
BBB Foods Inc	Mexico	Consumer Staples	Buy	69,499.52	50.41	58.00	15%	NA	101.2	16.5	13.90
IRB Brasil RE	Brazil	Financials	Buy	68,996.25	60.78	66.00	9%	7.5	11.5	0.8	2.21
DLocal Limited	Brazil	Information Technology	Buy (CBE)	52,589.65	14.30	20.00	40%	14.3	34.3	5.0	10.55
Kelun Pharmaceutical	China	Health Care	Buy	41,899.21	40.02	57.00	42%	27.7	23.0	2.5	2.23
Bukit Asam	Indonesia	Energy	Buy	31,044.89	3,140.00	3,600.00	15%	7.6	7.5	1.3	1.56
China Mobile - A	China	Telecommunication Services	Buy	25,944.01	96.90	113.00	17%	16.0	14.0	1.4	1.44
WIN Semiconductors	Taiwan	Information Technology	Buy	18,997.81	472.50	500.00	6%	50.0	25.7	4.6	2.86
China Reinsurance (Group) Corporation	China	Financials	Buy	18,930.33	1.21	1.75	45%	4.0	5.8	0.4	0.45
Giant Manufacturing	Taiwan	Consumer Discretionary	Buy	18,197.44	90.00	126.00	40%	15.8	18.3	1.0	2.63
ICICI Prudential Life Insurance	India	Financials	Buy	17,837.11	471.15	675.00	43%	37.6	49.6	4.3	6.94
Genera	Mexico	Financials	Buy (CBE)	17,559.94	36.84	52.00	41%	6.1	8.0	1.3	1.38
AAC Technologies	China	Information Technology	Buy	15,414.21	40.40	48.00	19%	12.9	16.4	1.4	2.32
Geely Automobile	China	Consumer Discretionary	Buy	14,667.83	16.00	28.00	75%	6.1	12.2	1.2	1.96
LG Innotek	Korea	Information Technology	Buy	13,545.89	507,000.00	1,100,000.00	117%	12.0	10.0	1.7	1.30
Advantest	Japan	Information Technology	Buy	13,121.56	30,240.00	43,600.00	44%	31.4	25.9	15.0	6.72
Smoores International	China	Consumer Staples	Buy	12,985.12	9.78	12.55	28%	28.6	30.6	2.1	5.92
Tech Mahindra	India	Information Technology	Buy	12,463.07	1,555.15	1,865.00	20%	19.1	17.8	4.2	3.39
Rural Funds Group	Australia	Financials	Buy	10,178.61	1.96	2.30	18%	16.3	16.0	0.6	1.05
Rohm	Japan	Information Technology	Buy	10,111.05	4,472.00	8,300.00	86%	35.4	24.5	2.1	1.13
Bank of Communications - A	China	Financials	Buy	9,549.04	7.58	8.10	7%	6.9	5.5	0.5	0.52
SMIC	China	Information Technology	Buy	7,230.36	62.40	102.40	64%	36.6	44.2	2.6	1.39
Stockland	Australia	Financials	Buy	6,536.03	4.20	5.12	22%	10.8	12.9	0.9	1.01
Avary Holding Shenzhen	China	Industrials	Buy	6,178.50	90.71	130.00	43%	28.1	19.7	4.7	3.02
Charoen Pokphand Foods	Thailand	Consumer Staples	Buy	4,866.33	22.20	25.00	13%	8.8	14.7	0.7	1.01
Zhejiang Dingli Machinery	China	Industrials	Buy	4,790.38	53.87	70.90	32%	12.1	23.1	2.0	4.58
PTT	Thailand	Energy	Buy	4,434.96	42.00	44.00	5%	10.5	10.2	1.1	1.09
Mah Sing	Malaysia	Financials	Buy	4,168.20	1.03	1.36	32%	8.0	10.0	0.4	0.62
China Telecom	China	Telecommunication Services	Buy	3,802.39	4.50	5.60	25%	11.4	10.4	0.7	0.71
HDFC Life Insurance	India	Financials	Buy	3,676.96	530.60	690.00	30%	51.0	72.0	5.7	9.71
Apollo Tyres	India	Consumer Discretionary	Buy	3,491.65	412.05	590.00	43%	14.8	13.8	1.4	1.37
Powerchip Semiconductor Manufacturing	Taiwan	Information Technology	Buy	3,163.26	71.20	100.00	40%	9.2	21.0	1.8	1.73
Centuria Capital	Australia	Financials	Buy	2,782.88	1.27	1.80	42%	9.9	14.3	0.7	1.08
Lenovo Group	China	Information Technology	Buy	2,012.34	34.32	42.00	22%	12.8	10.3	4.7	1.98
Shanghai Milkground Food Tech	China	Consumer Staples	Buy	1,963.61	19.19	25.50	33%	23.0	41.4	1.9	4.61
Perusahaan Gas Negara	Indonesia	Utilities	Buy	1,932.77	1,495.00	1,960.00	31%	7.5	11.7	0.7	0.94
Multi Commodity Exchange of India	India	Financials	Buy	1,733.91	3,208.35	3,800.00	18%	44.5	33.9	20.4	7.62
Kingdee International Software Group	China	Information Technology	Buy	1,690.83	7.27	11.00	51%	32.9	143.3	2.4	5.22
China Mobile (HK) Ltd	China	Telecommunication Services	Buy	1,617.30	79.20	95.00	20%	10.7	9.9	1.0	1.02
Feng Tay Enterprise	Taiwan	Consumer Discretionary	Buy	1,538.13	69.10	90.00	30%	14.2	20.4	2.4	6.59
China Unicom	China	Telecommunication Services	Buy	1,079.49	5.86	7.10	21%	8.1	12.8	0.4	0.56
Wharf Holdings	Hong Kong	Financials	Buy	1,001.20	19.25	27.00	40%	13.3	12.7	0.4	0.40
PEXA Group	Australia	Financials	Buy	957.56	6.88	8.35	21%	31.0	39.6	1.1	1.93
Merida Industry	Taiwan	Consumer Discretionary	Buy	836.68	67.60	112.00	66%	11.4	17.7	0.9	2.90
Westpac Banking Corporation	Australia	Financials	Buy	563.42	34.83	45.00	29%	16.2	13.4	1.6	1.37
Upgraded to Neutral											
Name	Market	Sector	Rating	Mcap (USDmn)	Price	PT	Upside/downside	PE		PB	
								Latest	10y avg	Latest	10y avg
Anhui Conch Cement	China	Materials	Neutral	128,607.43	16.26	18.20	12%	9.3	8.2	0.4	1.04
Sunny Optical Technology	China	Consumer Discretionary	Neutral	70,297.01	67.50	63.00	-7%	14.1	22.9	1.9	5.48
SLC Agrícola	Brazil	Consumer Staples	Neutral	49,449.98	17.75	16.00	-10%	12.9	10.3	1.5	1.54
Sappi Ltd	South Africa	Materials	Neutral (CBE)	48,197.62	1,350.00	1,230.00	-9%	5.1	7.2	0.3	0.89
Hotel Shilla	Korea	Consumer Discretionary	Neutral	43,386.97	40,650.00	49,000.00	21%	12.0	25.1	1.2	3.22
Chongqing Brewery	China	Consumer Staples	Neutral	7,061.95	37.78	38.02	1%	15.4	34.8	12.8	16.71
ITOHAH YONEKYU	Japan	Consumer Staples	Neutral	3,792.34	5,060.00	5,200.00	3%	14.4	15.0	0.9	0.94
SJM	Hong Kong	Consumer Discretionary	Neutral	3,590.00	1.39	1.50	8%	37.5	34.8	0.7	1.45
SCG Packaging PCL	Thailand	Materials	Neutral	2,614.68	30.50	31.00	2%	18.0	21.2	1.6	1.63

Source: Datastream, UBS. Note: Data as of 17 September 2026

Figure 35: Stocks downgraded to Neutral/Sell in the last 3m by UBS analysts

Downgraded to Neutral											
Name	Market	Sector	New rating after downgrade	Mcap (USDmn)	Price	PT	Upside/downside	PE		PB	
								Latest	10y avg	Latest	10y avg
H.U. Group Holdings	Japan	Health Care	Neutral	209,851.66	3,636.00	3,690.00	1%	29.4	21.5	1.5	1.4
Chugai Pharmaceutical	Japan	Health Care	Neutral	72,324.63	6,684.00	7,200.00	8%	19.0	28.2	4.3	4.9
Santander Brasil	Brazil	Financials	Neutral (CBE)	70,047.38	29.78	34.00	14%	NA	NA	NA	NA
Spring Airlines	China	Industrials	Neutral	53,795.86	41.81	45.90	10%	16.3	21.5	2.0	2.8
Sunwoda Electronic	China	Industrials	Neutral	44,772.10	20.23	19.50	-4%	5.0	13.3	0.6	2.7
Eyebright Medical Technology Beijing	China	Health Care	Neutral	39,556.21	37.64	40.00	6%	18.9	67.5	2.2	8.3
Great Wall Motor - A	China	Consumer Discretionary	Neutral	31,105.75	14.20	16.00	13%	11.5	20.5	1.2	2.7
FEMSA - ADR	Mexico	Consumer Staples	Neutral	25,569.07	121.02	139.00	15%	22.0	22.2	3.5	2.3
Evolution Mining	Australia	Materials	Neutral	19,799.03	13.12	15.20	16%	14.4	15.0	3.8	2.3
Standard Chartered	Hong Kong	Financials	Neutral	19,763.47	243.40	239.10	-2%	NA	NA	NA	NA
Century Pacific Food	Philippines	Consumer Staples	Neutral	19,251.56	32.50	35.00	8%	14.2	16.9	2.5	3.0
Coles Group	Australia	Consumer Staples	Neutral	15,948.16	23.52	25.50	8%	23.2	21.4	7.5	6.7
RL Commercial REIT	Philippines	Financials	Neutral	15,871.27	6.80	8.00	18%	13.2	14.1	0.8	0.9
Whitehaven Coal	Australia	Energy	Neutral	15,428.04	8.16	7.80	-4%	9.3	26.2	-2.4	7.2
China Gas Holdings	China	Utilities	Neutral	14,680.30	5.39	6.80	26%	10.2	11.4	0.5	1.9
Wynn Macau	Hong Kong	Consumer Discretionary	Neutral	13,883.20	5.20	5.70	10%	NA	16.1	-0.4	18.3
Nissin Oilio Group	Japan	Consumer Staples	Neutral	13,040.01	2,121.00	2,000.00	-6%	16.5	12.9	0.9	0.8
Region Group	Australia	Financials	Neutral	10,694.07	2.24	2.45	9%	13.7	15.1	0.9	1.0
Lojas Renner	Brazil	Consumer Discretionary	Neutral	9,861.74	11.50	13.50	17%	6.7	19.5	1.0	3.8
Collins Foods	Australia	Consumer Discretionary	Neutral	9,164.02	7.93	8.90	12%	13.9	17.7	2.0	2.5
Grand Korea Leisure	Korea	Consumer Discretionary	Neutral	9,122.23	9,000.00	11,500.00	28%	9.5	24.8	1.1	2.1
Jonjee Hi-Tech Industrial and Commercial	China	Consumer Staples	Neutral	8,573.87	17.17	19.00	11%	18.4	30.5	1.7	5.2
Gamuda	Malaysia	Industrials	Neutral	8,537.66	4.74	4.90	3%	20.5	14.8	2.0	1.3
JINS Holdings	Japan	Consumer Discretionary	Neutral	7,950.77	5,880.00	6,300.00	7%	14.6	28.7	3.1	5.4
Converge ICT	Philippines	Telecommunication Services	Neutral	7,704.44	9.06	10.70	18%	5.5	13.2	0.9	2.5
Alsea	Mexico	Consumer Discretionary	Neutral	7,132.62	43.92	46.00	5%	12.1	28.1	1.2	3.6
AREIT	Philippines	Financials	Neutral	6,536.05	37.40	41.00	10%	13.0	15.3	1.0	1.2
Dicker Data	Australia	Information Technology	Neutral	5,909.11	14.82	15.40	4%	22.8	18.5	7.8	7.1
Coronado Global Resources	Australia	Materials	Neutral	5,895.04	0.21	0.21	0%	NA	7.5	0.8	1.1
Steadfast Group	Australia	Financials	Neutral	5,445.95	5.72	6.00	5%	12.6	21.1	1.3	3.2
NEC Corporation	Japan	Information Technology	Neutral	5,379.73	4,896.00	5,150.00	5%	20.3	17.1	2.5	1.3
M3	Japan	Health Care	Neutral	5,376.75	1,797.50	1,900.00	6%	21.2	53.6	2.6	10.1
IGO	Australia	Materials	Neutral	4,716.91	6.91	8.85	28%	11.6	34.4	2.0	1.7
Topsports International	China	Consumer Discretionary	Neutral	4,429.45	0.97	1.37	42%	8.4	16.5	0.8	2.0
JFE Holdings	Japan	Materials	Neutral	4,415.14	1,895.00	1,860.00	-2%	8.9	8.4	0.4	0.5
Vicinity Centres	Australia	Financials	Neutral	3,254.44	2.36	2.70	14%	16.9	15.5	1.1	1.0
HCL Technologies	India	Information Technology	Neutral	3,254.09	1,251.15	1,415.00	13%	16.2	17.8	4.4	4.2
Liontown	Australia	Materials	Neutral	3,241.82	1.01	1.40	39%	13.9	136.0	1.8	8.0
TravelSky Technology	China	Consumer Discretionary	Neutral	3,190.86	8.67	9.30	7%	14.9	14.4	0.9	0.8
FEMSA	Mexico	Consumer Staples	Neutral	3,070.25	207.93	240.00	15%	21.5	21.0	3.2	2.2
Minor International	Thailand	Consumer Discretionary	Neutral	2,806.54	21.30	24.00	13%	12.4	31.9	1.4	2.4
SP Setia	Malaysia	Financials	Neutral	2,390.09	0.80	1.00	25%	10.9	13.6	0.2	0.5
Nihon Kohden	Japan	Health Care	Neutral	2,384.36	1,593.50	1,610.00	1%	16.1	20.6	1.3	1.9
QBE Insurance Group	Australia	Financials	Neutral	2,267.06	23.26	25.70	10%	11.6	12.4	2.3	1.4
InPost S.A.	Poland	Industrials	Neutral (CBE)	2,039.17	15.55	15.60	0%	25.2	22.4	6.0	10.5
Regis Resources	Australia	Materials	Neutral	1,572.57	7.56	8.90	18%	7.7	14.9	2.0	2.0
GT Capital	Philippines	Industrials	Neutral	1,137.25	414.20	540.00	30%	3.1	8.1	0.3	0.8
IDP Education	Australia	Consumer Discretionary	Neutral	1,112.50	1.56	1.95	25%	8.0	38.6	1.1	13.5
Pharmaron	China	Health Care	Neutral	933.75	29.38	35.30	20%	18.7	29.1	2.4	4.0
JB Hi-Fi	Australia	Consumer Discretionary	Neutral	874.74	66.25	72.00	9%	15.2	15.1	4.2	4.0
Downgraded to Sell											
Name	Market	Sector	New rating after downgrade	Mcap (USDmn)	Price	PT	Upside/downside	Latest	10y avg	Latest	10y avg
Henderson Land Development	Hong Kong	Financials	Sell	40,691.65	25.72	22.70	-12%	11.7	31.7	2.1	2.0
Largan Precision	Taiwan	Information Technology	Sell	36,163.76	6,020.00	5,000.00	-17%	14.3	16.1	2.9	1.5
Sandfire Resources	Australia	Materials	Sell	22,730.21	21.25	21.35	0%	25.9	23.4	8.7	5.2
Zee Entertainment Enterprises	India	Consumer Discretionary	Sell (CBE)	6,692.77	79.58	85.00	7%	9.9	20.2	1.5	3.9
Braskem	Brazil	Materials	Sell	4,133.89	4.53	3.75	-17%	12.2	9.6	5.0	3.2
Caixa Seguridade Participações S.A.	Brazil	Financials	Sell	2,042.90	20.56	20.50	0%	13.9	12.1	0.4	0.5
Woolworths	Australia	Consumer Staples	Sell	1,135.22	38.41	39.50	3%	10.9	19.2	0.6	2.7
Indosat	Indonesia	Telecommunication Services	Sell	722.96	2,370.00	2,470.00	4%	30.5	15.9	3.9	3.0

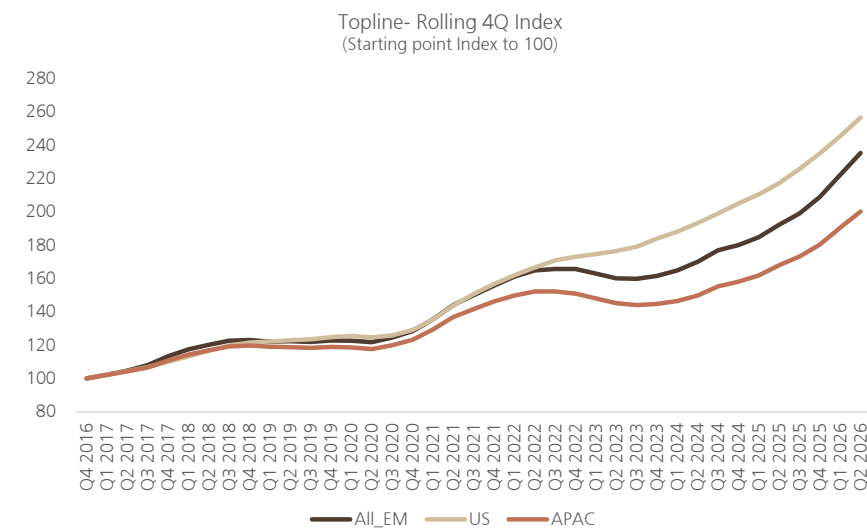
Source: Datastream, UBS. Note: Data as of 17 September 2026

Overview of Q2 2026

All trends in this section are on a US-dollar reporting basis for ease of comparison. Currency movements for the quarter are summarised in [Figure 31](#)

Top-line growth in major EMs was stronger than in the US and other DMs

Figure 36: EM top-line growth trajectory

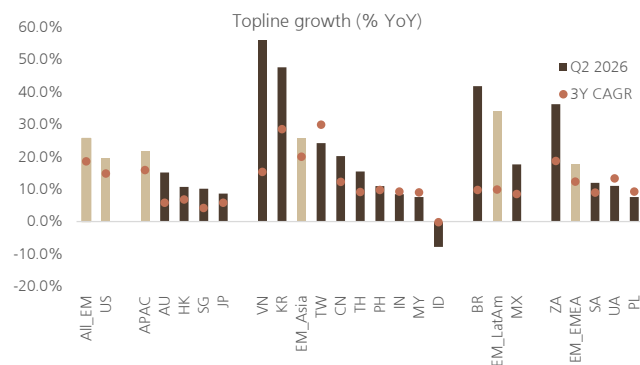


All the calculations are based on [index weighted methodology](#)

EM companies' top-line growth rose 26% YoY stronger than US and APAC growth in Q2 2026

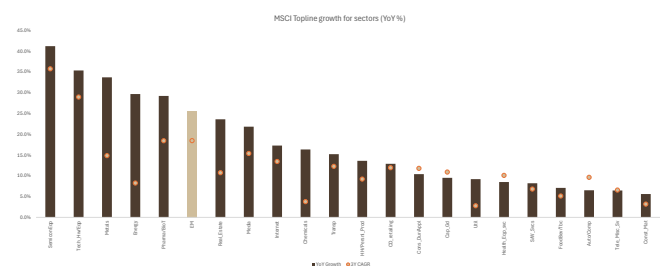
Source: MSCI, Datastream, UBS. Note: Top line considers NII for banks, total premium earned for insurance, and sales for all other companies.

Figure 37: Vietnam, Korea and Brazil posted strong top-line growth YoY, while growth declined for Indonesia



Source: MSCI, Datastream, UBS

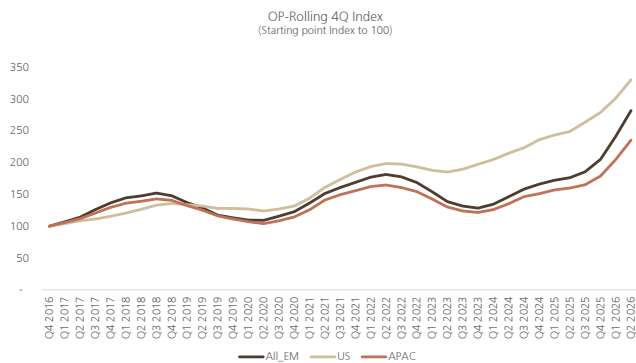
Figure 38: Within EM sectors, semicon/tech hardware and metals posted stronger top-line growth, while growth for const mat and tele/cons services was low



Source: MSCI, Datastream, UBS

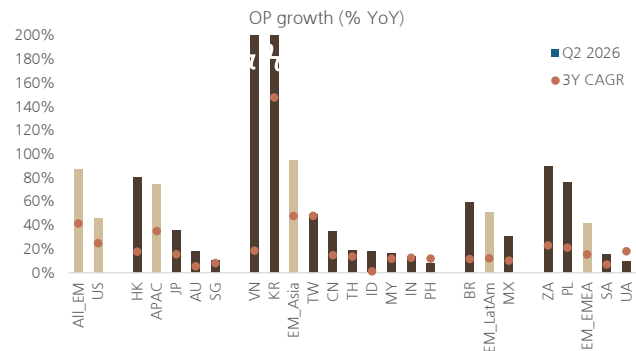
Earnings growth in Q226 strengthens further

Figure 39: EM OP grew by 88% YoY, while US grew by 46%; narrowing the gap between the regions further in Q2 26



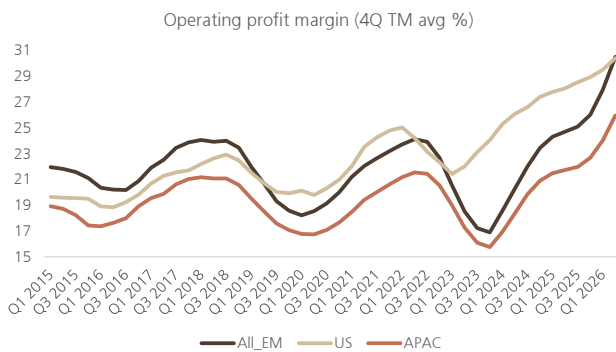
Source: MSCI, Datastream, UBS. Note: Operating profit considers PPOP for banks, total premium earned less (loss benefit adjustments+operating costs) for insurance, and EBIT for all other companies.

Figure 40: Vietnam, Korea, South Africa and HK's OP grew sharply, while Philippines, UAE and Singapore's growth remained low



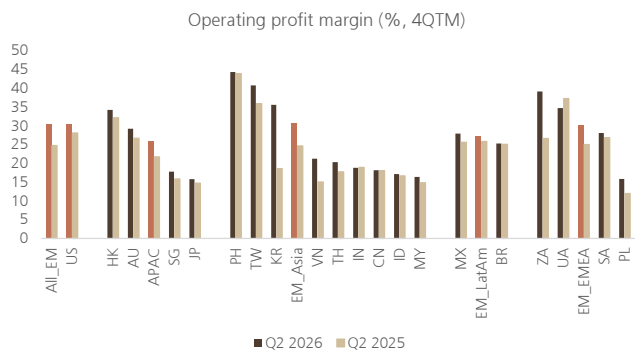
Source: MSCI, Datastream, UBS. Note: Vietnam and Korea OP grew by 415% and 292% YoY respectively

Figure 41: OP margins (ex financials) for EM have risen sharply and is at a similar level to US in Q2 2026



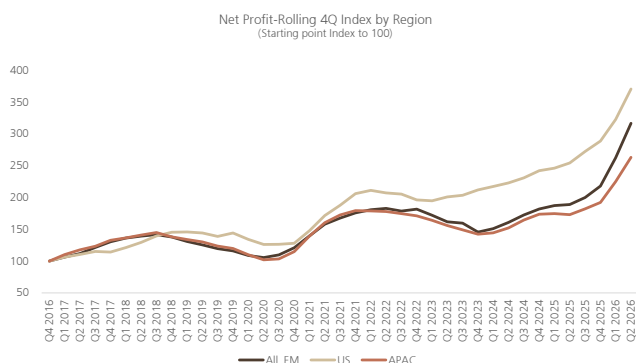
Source: MSCI, Datastream, UBS. Note: Operating margins calculations exclude financials stocks. Hence not comparable with the operating profits in chart above.

Figure 42: As compared with 2025, all major EM markets other than India and UAE recorded OP margin expansion



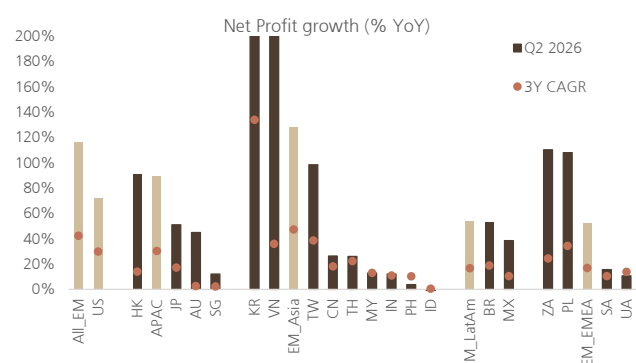
Source: MSCI, Datastream, UBS. Note: Operating margins calculations exclude financials stocks. 4QTM average is last 4 quarter average

Figure 43: In last 3 quarters, net profit growth in EM is faster than US, which is narrowing the gap with levels seen 4 years ago



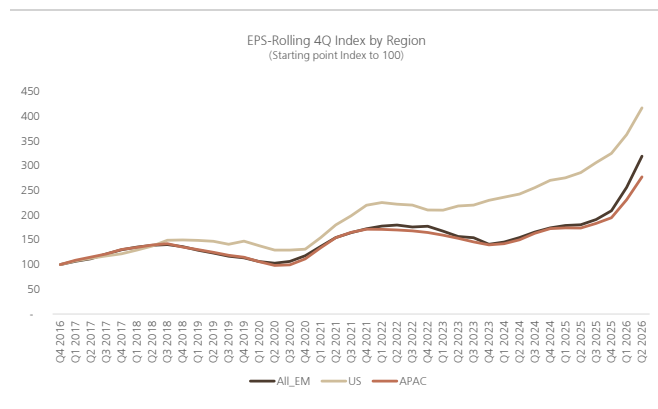
Source: MSCI, Datastream, UBS

Figure 44: Korea, Vietnam, South Africa and Poland posted a strong net profit performance



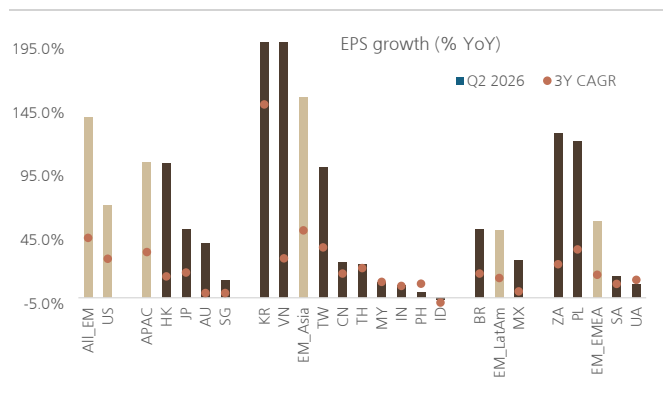
Source: MSCI, Datastream, UBS. Note: Korea and Vietnam posted a growth of 390% and 212% respectively

Figure 45: Strong upward EPS trend in US and EM EPS



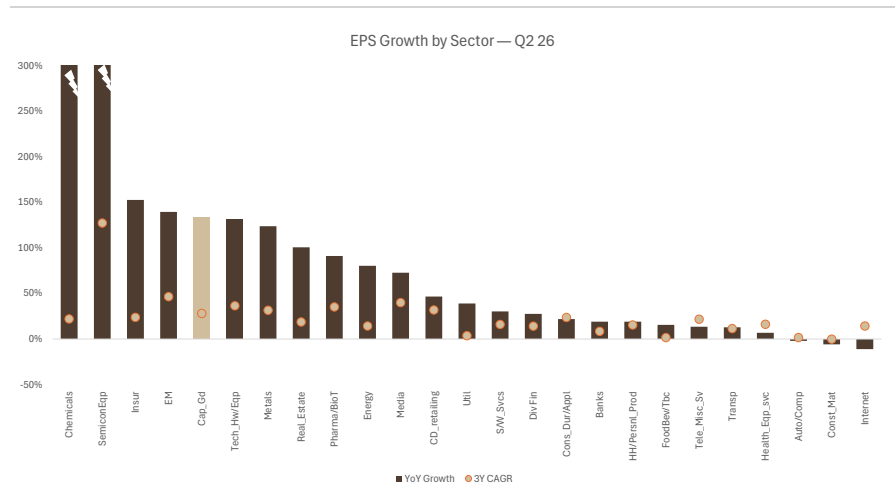
Source: MSCI, Datastream, UBS

Figure 46: EPS growth was strong in Korea, Vietnam and South Africa while it declined for Indonesia



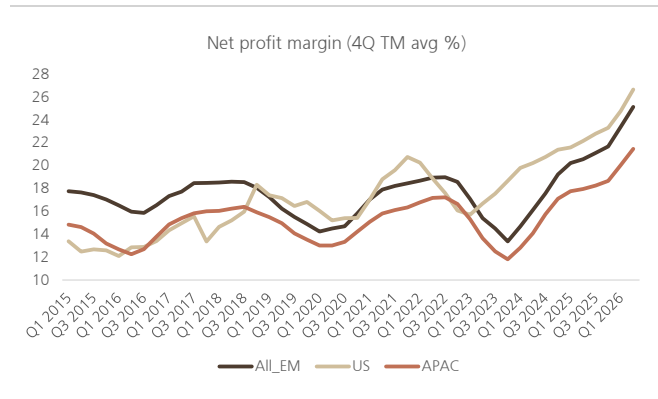
Source: MSCI, Datastream, UBS. Note: Korea and Vietnam posted a growth of 516% and 271% YoY respectively

Figure 47: Among the sectors EPS growth was strong in Chemicals (due to base effect), Semicon while Internet, construction materials and Auto sector EPS declined



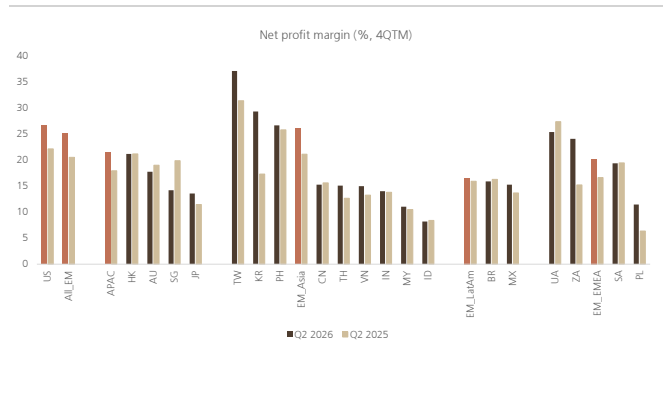
Source: IBES, MSCI, Datastream, UBS Note: Chemical and Semicon posted a growth of 637% and 308% respectively

Figure 48: The gap between EM and US net profit margins is narrowing



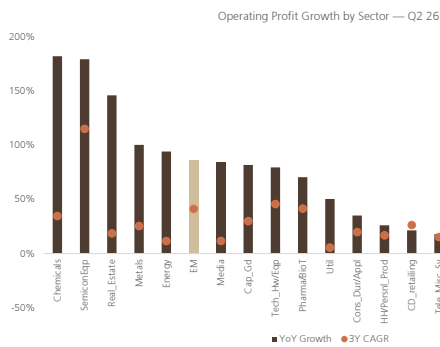
Source: MSCI, Datastream, UBS. Note: Net profit margins exclude financial stocks, and hence not comparable with above chart on net profit level.

Figure 49: Net profit margins have expanded for Korea, South Africa and Taiwan



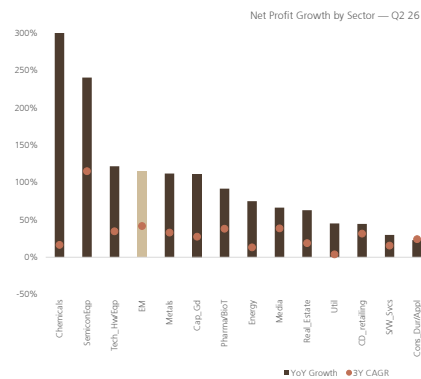
Source: MSCI, Datastream, UBS. Note: Net profit margin calculations exclude financial stocks. 4QTM average is last 4 quarter average

Figure 50: OP growth of Chemicals and Semicon sector grew sharply; it declined for Transportation and Auto sector



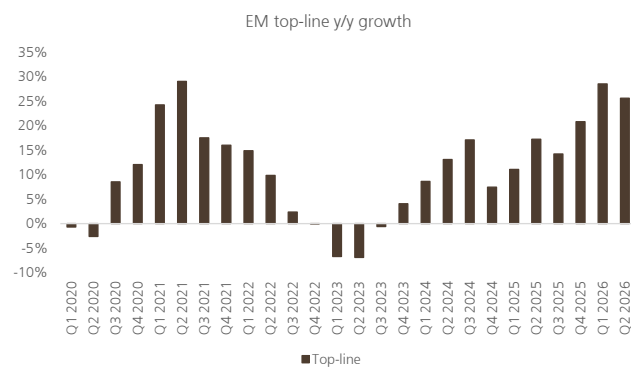
Source: MSCI, Datastream, UBS

Figure 51: Divergence in EM growth



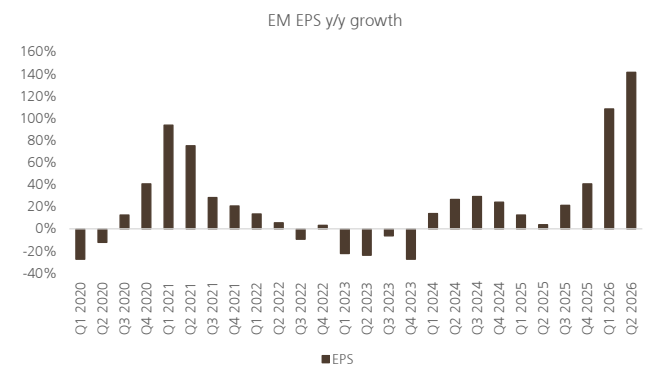
Source: MSCI, Datastream, UBS

Figure 52: EM top-line YoY growth is near to the previous cycle peak values



Source: MSCI, Datastream, UBS

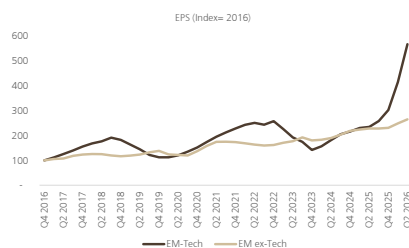
Figure 53: ... while EPS growth have accelerated even sharper than that



Source: MSCI, Datastream, UBS

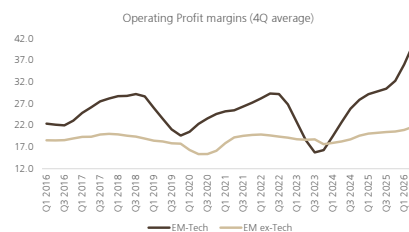
EM Tech results vs other sectors

Figure 54: EM EPS (ex- Tech) grew by 28% in Q2



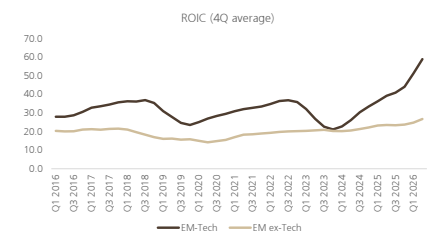
Source: MSCI, Datastream, UBS

Figure 55: EM margins ex- Tech have surpassed the previous peak levels



Source: MSCI, Datastream, UBS

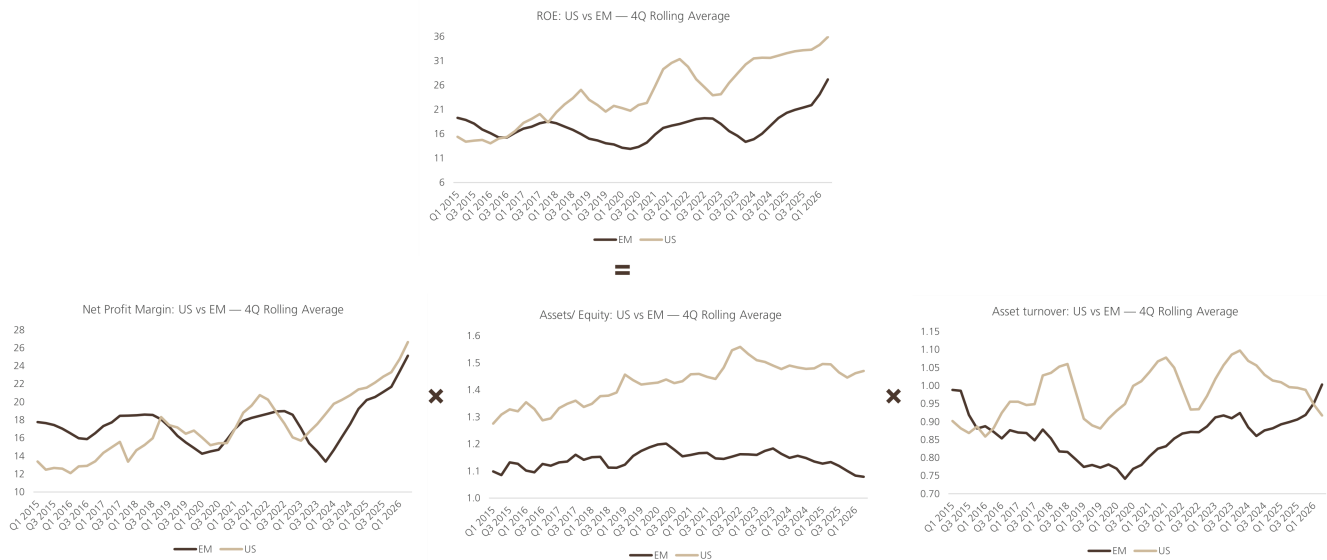
Figure 56: Divergence in EM Tech- non Tech ROIC levels



Source: MSCI, Datastream, UBS

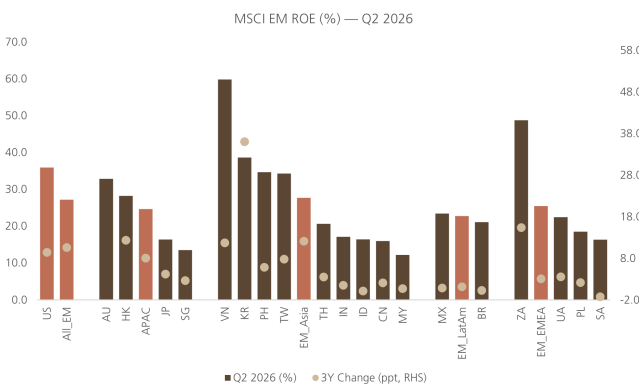
EM ROE and ROIC have surpassed previous peak levels

Figure 57: EM ROE still below US but catching up. Details show primary driver of US superior ROE is leverage - not margins or asset turns



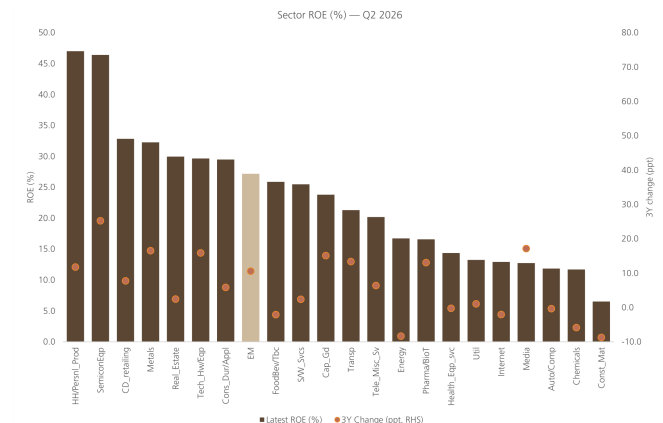
Source: MSCI, Datastream, UBS

Figure 58: Biggest ROE improvements were seen in Korea and South Africa. Saudi Arabia's ROE remains below 2023 levels



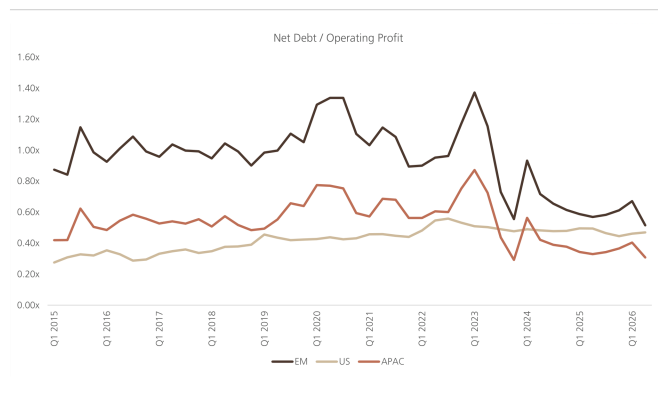
Source: MSCI, Datastream, UBS.

Figure 59: Significant ROE improvements were seen in Semicon, Media and Metals while const mat, chemicals and internet recorded a drop



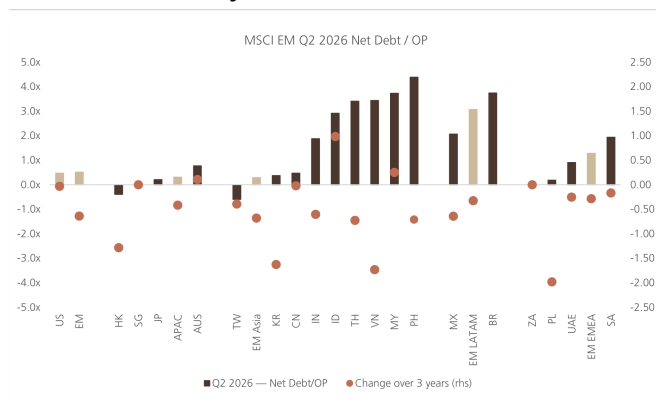
Source: MSCI, Datastream, UBS.

Figure 60: EM leverage dropped while US leverage increased compared to last quarter



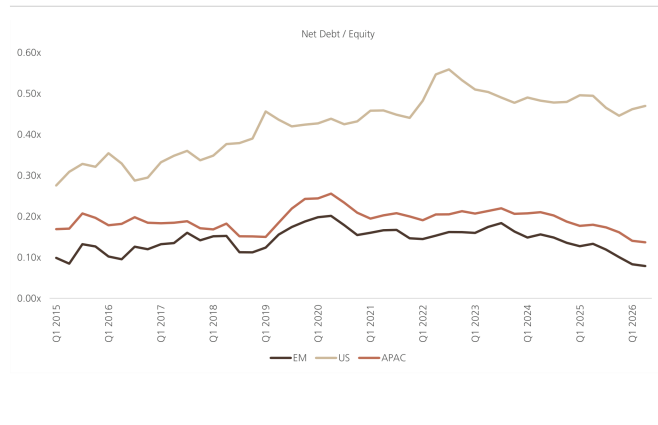
Source: MSCI, Datastream, UBS. Note: 1) The calculations exclude financials stocks; 2) we use OP (EBIT) in the denominator instead of the more appropriate EBITDA due to lack of reporting of EBITDA on a regular basis across a large number of samples

Figure 61: Within EM most of the markets witnessed deleveraging compared to 3 years back, other than Indonesia and Malaysia



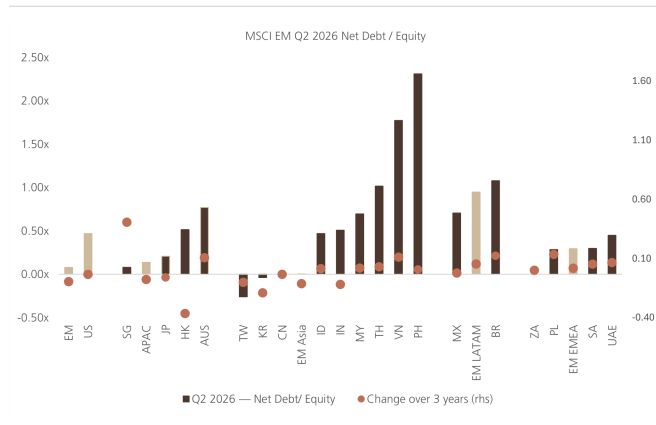
Source: MSCI, Datastream, UBS. Note: 1) The calculations exclude financials stocks; 2) we use OP (EBIT) in the denominator instead of the more appropriate EBITDA due to lack of reporting of EBITDA on a regular basis across a large number of samples.

Figure 62: Leverage levels in EM have fallen ; while it has risen in US



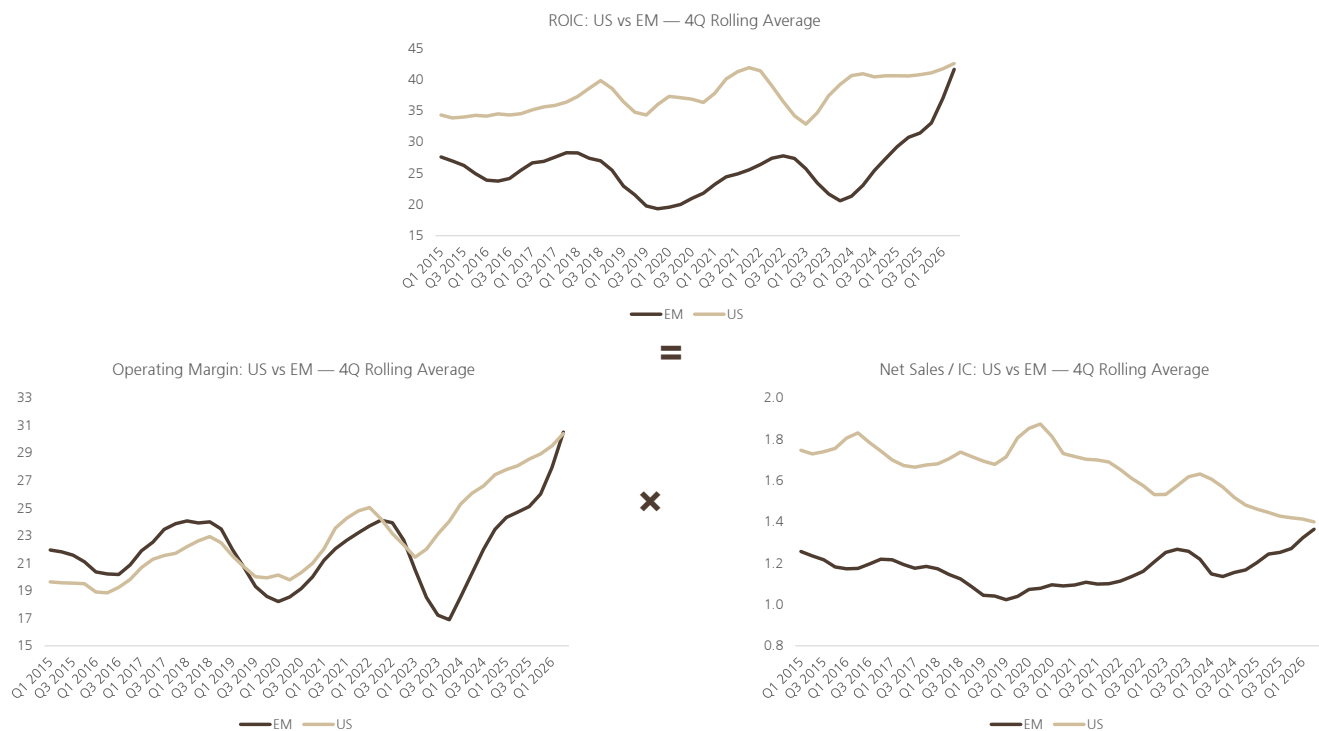
Source: MSCI, Datastream, UBS

Figure 63: EM leverage levels increased for Poland, Brazil and Vietnam as compared to 3 years back.



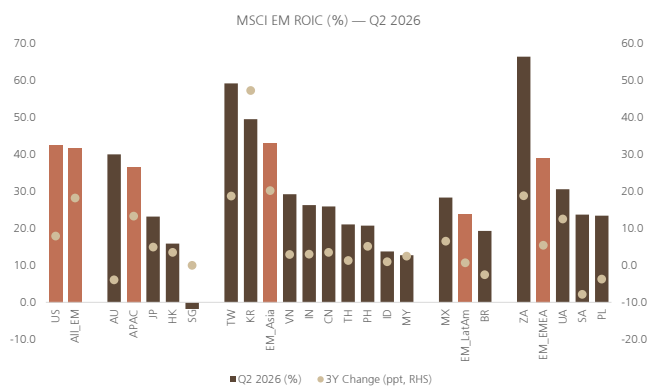
Source: MSCI, Datastream, UBS

Figure 64: Improvement in EM ROIC close to US levels, largely contributed by rise in operating margins



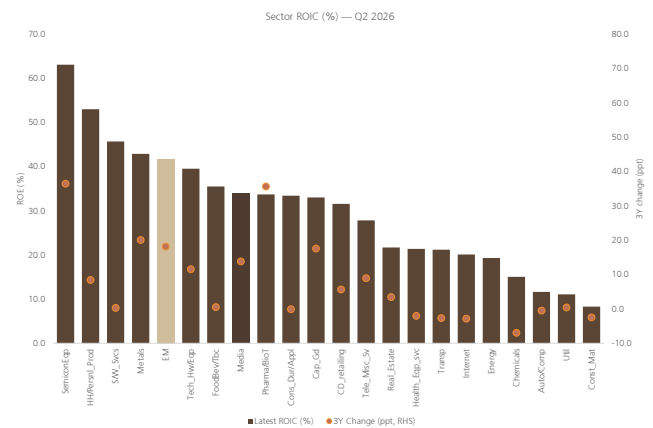
Source: MSCI, Datastream, UBS

Figure 65: Within EM, ROIC has increased sharply for Korea, South Africa and Taiwan ; while dropped for Saudi and Poland



Source: MSCI, Datastream, UBS

Figure 66: Within EM sectors, ROIC has increased sharply for semicon, pharma and metals sector



Source: MSCI, Datastream, UBS

Figure 67: Key metrics comparison for top-22 non-financial sub-sectors that account for over c78% of non-financial MSCI EM index by weight

EM-Sector	ROIC		OPM		Net Debt/Equity		EPS Growth	
	Q2 2026	Q2 2025	Q2 2026	Q2 2025	Q2 2026	Q2 2025	Q2 2026	Q2 2025
TW-SemiconEqp	66.9%	56.0%	49.0%	43.1%	-0.37x	-0.35x	51.9%	44.0%
KR-SemiconEqp	59.3%	20.0%	43.7%	21.3%	-0.25x	-0.08x	304.0%	51.7%
CN-Internet	20.1%	30.1%	18.3%	22.1%	-0.16x	-0.17x	-22.6%	56.5%
TW-Tech_Hw/Eqp	43.2%	37.1%	16.1%	13.9%	-0.25x	-0.08x	85.4%	1.3%
KR-Cap_Gd	32.2%	18.5%	9.0%	7.8%	-0.04x	-0.09x	150.2%	46.9%
CN-Tech_Hw/Eqp	32.2%	30.8%	12.5%	10.2%	0.59x	0.73x	44.8%	32.4%
ZA-Metals	80.0%	47.0%	47.1%	28.7%	0.03x	0.01x	203.3%	-42.7%
CN-Pharma/BioT	37.0%	16.4%	20.9%	16.0%	0.03x	0.20x	95.2%	34.6%
IN-Cap_Gd	42.5%	40.7%	14.3%	14.2%	-0.45x	-0.30x	19.5%	32.8%
CN-Metals	39.6%	26.1%	27.3%	19.7%	-0.02x	0.17x	82.9%	49.8%
IN-Energy	13.2%	14.0%	10.7%	11.3%	0.49x	0.80x	-9.1%	4.2%
IN-Auto/Comp	20.6%	19.8%	12.0%	12.9%	0.54x	0.62x	7.0%	-2.2%
IN-S/W_Svcs	58.6%	56.8%	19.7%	20.0%	0.29x	0.33x	1.7%	7.4%
CN-Auto/Comp	3.7%	16.6%	3.2%	2.8%	-0.21x	0.18x	-13.0%	12.2%
CN-Cap_Gd	43.6%	35.7%	12.6%	11.1%	0.00x	0.06x	27.5%	-6.2%
BR-Energy	23.3%	18.0%	32.1%	25.6%	-0.27x	-0.30x	43.6%	1.9%
CN-Energy	14.0%	15.1%	14.2%	14.0%	0.63x	0.56x	14.5%	-15.3%
KR-Auto/Comp	8.6%	13.1%	5.7%	7.9%	0.45x	0.34x	-24.5%	-10.8%
IN-Tele_Misc_Sv	21.0%	18.8%	28.5%	30.1%	0.67x	0.79x	-11.6%	170.7%
IN-Pharma/BioT	20.3%	23.7%	20.4%	22.0%	0.99x	1.53x	-1.2%	9.5%
BR-Metals	16.2%	17.9%	17.2%	21.0%	0.16x	-0.12x	-11.6%	-40.5%
CN-SemiconEqp	23.5%	12.3%	17.5%	10.2%	0.01x	-0.02x	97.3%	-15.0%

Source: MSCI, Datastream, UBS. Note: OP margin, ROIC given above are averages of last 4 quarters. EPS growth is trailing 12M growth

Some key observations: 1) Korean semis sector posted solid improvements in margins, ROIC, leverage and EPS growth levels as compared to 2025 levels; EPS growth in Q2 is higher than Taiwan Semicon 2) In case of Metals sector, South Africa has shown a sharpest improvement in ROIC, OPM as compared to 2025 levels and relative to China, India and Brazilian peers, 3) Brazil's energy sector has delivered stronger results in Q2 as compared to Indian and Chinese peers 4) China's capital goods sector has performed better in 2026 in terms of OPM, ROIC and leverage as compared to Korean peers; however, latter's EPS growth has risen sharply .

Figure 68: EM/APAC markets performance and valuation (consensus)

	Performance (US\$)					12m fwd P/E (x)			EPS growth (%)			12m fwd P/B (x)			12m fwd ROE		12m fwd dividend yield	
	YTD 2026	1m	3m	2025	2024	Latest	yoy change	10y avg	2026E	2027E	2028E	Latest	yoy change	10y avg	Latest	10y avg	Latest	10y avg
Taiwan	64.9%	1.2%	1%	40%	35%	21.1	11%	17.2	56.3	36.9	29.1	6.8	36%	3.9	32%	22%	2.0%	3.4%
Korea	88.3%	-1.5%	-18%	101%	-23%	9.7	-28%	12.7	81.1	36.8	6.4	2.2	25%	1.5	36%	14%	2.4%	2.1%
China	-11.7%	-4.3%	-2%	31%	20%	15.0	-11%	19.1	21.5	17.5	16.9	2.2	-28%	3.1	15%	15%	2.8%	2.6%
Australia*	12.0%	-2.3%	0%	15%	1%	20.5	-13%	19.2	12.9	8.6	8.1	3.7	2%	3.1	18%	16%	3.6%	4.4%
India	-12.3%	-4.5%	-4%	4%	12%	28.3	-9%	27.2	20.0	14.9	8.9	5.2	-13%	4.8	18%	18%	1.5%	1.4%
Brazil	20.1%	10.4%	10%	50%	-29%	10.9	9%	13.2	36.9	11.0	14.1	2.3	-1%	2.2	22%	18%	6.4%	5.2%
Singapore*	22.9%	-3.1%	13%	32%	32%	19.0	5%	13.8	14.3	11.5	10.1	2.9	2%	2.7	15%	12%	3.6%	4.3%
Hong Kong*	7.0%	-0.3%	4%	35%	0%	15.6	-7%	17.4	2.2	8.1	7.3	2.7	-10%	2.7	16%	14%	4.1%	3.7%
South Africa	3.6%	0.5%	0%	79%	7%	10.5	-10%	12.6	32.4	10.4	4.9	2.8	2%	2.3	26%	19%	4.9%	3.8%
Saudi Arabia	7.0%	-1.2%	-2%	-5%	1%	16.2	-8%	18.5	11.6	12.7	7.9	2.6	-4%	2.8	17%	16%	4.3%	3.8%
Mexico	9.8%	-0.9%	-5%	57%	-27%	13.2	3%	14.1	22.1	5.4	6.5	3.0	-1%	2.7	23%	19%	4.4%	4.2%
UAE	7.9%	2.2%	3%	27%	20%	10.6	-6%	11.0	3.2	6.2	12.3	2.4	-6%	1.9	20%	16%	5.0%	5.0%
Poland	30.5%	3.0%	10%	76%	-6%	12.9	-2%	13.0	27.0	14.5	1.4	2.6	30%	1.9	19%	14%	4.0%	4.1%
Thailand	21.8%	-4.1%	-5%	7%	2%	27.3	-2%	25.7	17.1	8.7	9.4	7.0	13%	4.8	23%	18%	3.6%	3.2%
Malaysia	2.8%	-2.5%	-1%	15%	21%	15.3	3%	15.2	3.7	6.4	4.6	1.7	2%	1.9	11%	12%	4.5%	4.1%
Kuwait	-0.8%	-0.2%	1%	23%	10%	18.4	-4%	17.7	0.0	9.5	20.6	2.0	-9%	1.9	11%	11%	3.4%	3.4%
Vietnam	5.8%	8.8%	5%	67%	-6%	31.8	31%	26.3	7.4	21.4	-12.7	3.7	37%	3.0	15%	15%	1.2%	1.3%
Indonesia	-34.2%	-1.0%	-3%	-2%	-12%	11.4	-7%	14.8	-5.8	11.0	14.5	1.9	-16%	2.6	17%	17%	7.1%	3.9%
Chile	1.5%	-1.8%	-4%	74%	-6%	15.3	25%	16.0	-1.4	3.5	6.5	2.5	39%	2.8	15%	14%	2.7%	3.5%
Qatar	-8.7%	-3.0%	-9%	8%	6%	10.4	-11%	11.9	-4.8	17.3	6.9	1.3	-17%	1.7	13%	14%	5.2%	4.2%
Peru	39.7%	1.8%	1%	74%	16%	16.4	13%	14.4	30.9	5.8	5.2	5.3	27%	3.2	28%	20%	3.4%	3.5%
Turkey	21.2%	0.7%	-2%	-2%	18%	11.5	13%	9.0	56.0	29.3	32.9	1.7	6%	2.0	15%	22%	3.6%	4.6%
Hungary	48.0%	1.9%	5%	79%	14%	8.9	28%	8.4	25.2	8.1	5.9	1.6	45%	1.2	18%	15%	3.4%	3.7%
Philippines	1.5%	-5.9%	-4%	1%	0%	14.6	15%	16.3	3.9	12.0	11.0	4.9	12%	3.6	26%	22%	3.5%	2.7%
Colombia	57.6%	1.8%	18%	116%	10%	10.3	33%	9.6	43.1	5.6	6.0	1.8	52%	1.1	17%	13%	5.4%	5.2%
Czech Republic	4.4%	0.0%	9%	74%	7%	18.2	7%	14.0	19.1	-9.8	-1.7	2.5	9%	1.6	14%	12%	5.0%	6.3%
Egypt	15.3%	-8.4%	-9%	55%	-31%	6.8	8%	8.0	0.9	16.9	19.5	1.8	9%	1.9	27%	25%	4.9%	3.7%
EM	22.3%	-1.1%	-5%	34%	8%	16.9	-5%	17.2	42.6	24.9	15.7	4.0	11%	3.0	25%	18%	2.7%	2.9%
Asia ex Japan	23.7%	-1.8%	-5%	33%	13%	17.7	-5%	17.7	25.9	19.1	12.0	4.1	11%	3.1	26%	17%	2.4%	2.7%
Japan*	22.1%	-0.7%	3%	25%	9%	19.3	4%	17.1	14.4	12.1	9.0	3.2	15%	2.1	16%	12%	2.1%	2.6%
USA	12.4%	-1.3%	3%	18%	25%	25.0	-11%	26.7	19.9	21.4	18.5	8.6	-13%	8.3	40%	35%	1.1%	1.5%
World	12.5%	-1.6%	3%	22%	19%	22.3	-9%	23.4	18.5	18.7	15.6	6.9	-9%	6.4	33%	28%	1.8%	2.1%

Source: IBES, MSCI, Datastream, UBS. * are not part of EM; calculated on the basis of index-weighted methodology ([video link](#))

We would like to thank **Chandan Kishore** and **Ayush Aartani**, our research support service professionals, for their assistance in preparing this research report.

Valuation Method and Risk Statement

In addition to industry- and company-specific risk, we point out to investors the potential risks inherent in investing in companies with significant assets and business operations in emerging markets. Potential EM-related risks include the volatile nature of the currency, regulatory and sociopolitical risk, and abrupt potential changes in the cost of capital and economic growth outlook. Valuations can also be impacted by 'contagion' from developments in other emerging markets. Each of the above has the potential to significantly impact company/industry performance. Valuation methods across sectors include DCF, SOTP and multiples analysis.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
AAC Technologies ^{28a}	2018.HK	Buy	HK\$40.62	18 Sep 2026
AREIT ^{2,4,5,6c}	AREIT.PS	Neutral	P38.30	18 Sep 2026
Advantest ^{28b}	6857.T	Buy	¥32,050	18 Sep 2026
Alsea ^{28a}	ALSEA.MX	Neutral	P43.06	17 Sep 2026
Anhui Conch Cement ^{2,18a,16a,6c}	0914.HK	Neutral	HK\$15.96	18 Sep 2026
Apollo Tyres	APLO.BO	Buy	Rs411.80	18 Sep 2026
Avary Holding Shenzhen	002938.SZ	Buy	Rmb89.88	18 Sep 2026
BBB Foods Inc ^{28a,16b}	TBBB.N	Buy	US\$50.90	17 Sep 2026
Bank of Communications - A ^{7,18a}	601328.SS	Buy	Rmb7.46	18 Sep 2026
Braskem ^{2,13,28a,6c,16b}	BRKM5.SA	Sell	R\$4.52	17 Sep 2026
Bukit Asam	PTBA.JK	Buy	Rp3,090	18 Sep 2026
Caixa Seguridade Participações S.A.	CXSE3.SA	Sell	R\$20.54	17 Sep 2026
Centuria Capital ^{4,6c}	CNI.AX	Buy	A\$1.30	18 Sep 2026
Century Pacific Food	CNPF.PS	Neutral	P32.90	18 Sep 2026
Charoen Pokphand Foods ^{7,28a}	CPF.BK	Buy	Bt23.10	18 Sep 2026
China Gas Holdings ^{28a}	0384.HK	Neutral	HK\$5.40	18 Sep 2026
China Mobile (HK) Ltd ^{18a,16a}	0941.HK	Buy	HK\$79.05	18 Sep 2026
China Mobile - A ^{18a,16a}	600941.SS	Buy	Rmb96.63	18 Sep 2026
China Reinsurance (Group) Corporation ^{28a}	1508.HK	Buy	HK\$1.23	18 Sep 2026
China Telecom ^{18a,16a}	0728.HK	Buy	HK\$4.44	18 Sep 2026
China Unicom ^{16a}	0762.HK	Buy	HK\$5.73	18 Sep 2026
Chongqing Brewery	600132.SS	Neutral	Rmb37.77	18 Sep 2026
Chugai Pharmaceutical ^{28a}	4519.T	Neutral	¥6,746	18 Sep 2026
Coles Group ^{28a}	COL.AX	Neutral	A\$23.12	18 Sep 2026
Collins Foods ^{28a}	CKF.AX	Neutral	A\$7.85	18 Sep 2026
Converge ICT ^{28a}	CNVRG.PS	Neutral	P8.90	18 Sep 2026
Coronado Global Resources ^{13,28a}	CRN.AX	Neutral	A\$0.22	18 Sep 2026
DLocal Limited ^{28a,16b,20}	DLO.O	Buy (CBE)	US\$14.36	17 Sep 2026
Dicker Data ^{13,28a}	DDR.AX	Neutral	A\$14.94	18 Sep 2026
Evolution Mining ^{28a}	EVN.AX	Neutral	A\$13.70	18 Sep 2026
Eyebright Medical Technology Beijing	688050.SS	Neutral	Rmb37.68	18 Sep 2026
FEMSA ^{1,5,6c,16b}	FEMSAUBD.MX	Neutral	P206.95	17 Sep 2026
FEMSA - ADR ^{1,5,6c,16b}	FMX.N	Neutral	US\$120.39	17 Sep 2026
Feng Tay Enterprise	9910.TW	Buy	NT\$68.40	18 Sep 2026
GT Capital ^{28a}	GTCAP.PS	Neutral	P422.00	18 Sep 2026
Gamuda ^{28a}	GAMU.KL	Neutral	RM4.78	18 Sep 2026
Geely Automobile ^{16a}	0175.HK	Buy	HK\$15.94	18 Sep 2026
Gentera ^{28a,20}	GENTERA.MX	Buy (CBE)	P37.22	17 Sep 2026

Company Name	Reuters	12-month rating	Price	Price date
Giant Manufacturing	9921.TW	Buy	NT\$90.80	18 Sep 2026
Grand Korea Leisure	114090.KS	Neutral	Won8,950	18 Sep 2026
Great Wall Motor - A ^{18a,16a}	601633.SS	Neutral	Rmb14.05	18 Sep 2026
H.U. Group Holdings	4544.T	Neutral	¥3,623	18 Sep 2026
HCL Technologies	HCLT.BO	Neutral	Rs1,238	18 Sep 2026
HDFC Life Insurance ⁷	HDFL.BO	Buy	Rs552.15	18 Sep 2026
Henderson Land Development ^{2,4,5,28a,6c}	0012.HK	Sell	HK\$25.96	18 Sep 2026
Hotel Shilla	008770.KS	Neutral	Won40,800	18 Sep 2026
ICICI Prudential Life Insurance	ICIR.BO	Buy	Rs493.80	18 Sep 2026
IDP Education ^{13,28a}	IEL.AX	Neutral	A\$1.53	18 Sep 2026
IGO ^{28a}	IGO.AX	Neutral	A\$6.88	18 Sep 2026
IRB Brasil RE	IRBR3.SA	Buy	R\$60.98	17 Sep 2026
ITOHAM YONEKYU	2296.T	Neutral	¥4,975	18 Sep 2026
InPost S.A. ^{28a,20}	INPST.AS	Neutral (CBE)	€15.56	17 Sep 2026
Indosat	ISAT.JK	Sell	Rp2,370	18 Sep 2026
JB Hi-Fi ^{28a}	JBH.AX	Neutral	A\$65.22	18 Sep 2026
JFE Holdings	5411.T	Neutral	¥1,883	18 Sep 2026
JINS Holdings ^{28a}	3046.T	Neutral	¥5,910	18 Sep 2026
Jonjee Hi-Tech Industrial and Commercial	600872.SS	Neutral	Rmb17.16	18 Sep 2026
Kelun Pharmaceutical	002422.SZ	Buy	Rmb39.77	18 Sep 2026
Kingdee International Software Group ^{28a,16a}	0268.HK	Buy	HK\$7.56	18 Sep 2026
LG Innotek	011070.KS	Buy	Won532,000	18 Sep 2026
Largan Precision ^{28a}	3008.TW	Sell	NT\$6,430	18 Sep 2026
Lenovo Group ^{2,28a,16a,6c}	0992.HK	Buy	HK\$37.58	18 Sep 2026
Liontown ^{4,28a,6c}	LTR.AX	Neutral	A\$1.02	18 Sep 2026
Lojas Renner ^{8,28a}	LREN3.SA	Neutral	R\$11.14	17 Sep 2026
M3 ^{28a}	2413.T	Neutral	¥1,773	18 Sep 2026
Mah Sing	MAHS.KL	Buy	RM1.02	18 Sep 2026
Merida Industry	9914.TW	Buy	NT\$67.60	18 Sep 2026
Minor International ^{28a}	MINT.BK	Neutral	Bt21.50	18 Sep 2026
Multi Commodity Exchange of India	MCEI.BO	Buy	Rs3,249	18 Sep 2026
NEC Corporation ^{28a}	6701.T	Neutral	¥4,812	18 Sep 2026
Nihon Kohden ^{28a}	6849.T	Neutral	¥1,587	18 Sep 2026
Nisshin Oillio Group	2602.T	Neutral	¥2,107	18 Sep 2026
PEXA Group ^{7,28a}	PXA.AX	Buy	A\$6.89	18 Sep 2026
PTT ^{4,28a,6c}	PTT.BK	Buy	Bt42.25	18 Sep 2026
Perusahaan Gas Negara	PGAS.JK	Buy	Rp1,475	18 Sep 2026
Pharmaron ^{18a}	3759.HK	Neutral	HK\$29.52	18 Sep 2026
Powerchip Semiconductor Manufacturing ^{2,4,6c}	6770.TW	Buy	NT\$74.00	18 Sep 2026
QBE Insurance Group ^{7,6a,28a}	QBE.AX	Neutral	A\$23.39	18 Sep 2026
RL Commercial REIT	RCR.PS	Neutral	P6.92	18 Sep 2026
Region Group	RGN.AX	Neutral	A\$2.23	18 Sep 2026
Regis Resources ^{28a}	RRL.AX	Neutral	A\$7.80	18 Sep 2026
Rohm	6963.T	Buy	¥4,648	18 Sep 2026

Company Name	Reuters	12-month rating	Price	Price date
Rural Funds Group ^{28a}	RFF.AX	Buy	A\$1.94	18 Sep 2026
SCG Packaging PCL	SCGP.BK	Neutral	Bt31.25	18 Sep 2026
SJM ^{2,4,28a,6c}	0880.HK	Neutral	HK\$1.42	18 Sep 2026
SLC Agrícola ^{8,28a}	SLCE3.SA	Neutral	R\$17.96	17 Sep 2026
SMIC ^{16a}	0981.HK	Buy	HK\$65.15	18 Sep 2026
SP Setia	SETI.KL	Neutral	RM0.78	18 Sep 2026
Sandfire Resources ^{28a}	SFR.AX	Sell	A\$21.98	18 Sep 2026
Sappi Ltd ^{13,20}	SAPJ.J	Neutral (CBE)	1,320RCnt	17 Sep 2026
Shanghai Milkground Food Tech	600882.SS	Buy	Rmb19.12	18 Sep 2026
Smoore International	6969.HK	Buy	HK\$9.69	18 Sep 2026
Spring Airlines ^{2,4,5,7,18b,6c}	601021.SS	Neutral	Rmb41.90	18 Sep 2026
Standard Chartered ^{2,4,7,6a,28a,6b,16a,6c}	2888.HK	Neutral	HK\$245.00	18 Sep 2026
Steadfast Group ^{28a,6c}	SDF.AX	Neutral	A\$5.72	18 Sep 2026
Stockland ^{13,28a}	SGP.AX	Buy	A\$4.08	18 Sep 2026
Sunny Optical Technology ^{28a,16a}	2382.HK	Neutral	HK\$67.05	18 Sep 2026
Sunwoda Electronic	300207.SZ	Neutral	Rmb20.03	18 Sep 2026
Tech Mahindra	TEML.BO	Buy	Rs1,530.7	18 Sep 2026
Topsports International ^{28a}	6110.HK	Neutral	HK\$0.98	18 Sep 2026
TravelSky Technology ^{28a}	0696.HK	Neutral	HK\$8.75	18 Sep 2026
Vicinity Centres	VCX.AX	Neutral	A\$2.32	18 Sep 2026
WIN Semiconductors	3105.TWO	Buy	NT\$471.00	17 Sep 2026
Westpac Banking Corporation ^{2,4,5,7,28a,6c}	WBC.AX	Buy	A\$34.75	18 Sep 2026
Wharf Holdings ^{28a}	0004.HK	Buy	HK\$19.28	18 Sep 2026
Whitehaven Coal ^{4,5,7,28a,6c}	WHC.AX	Neutral	A\$7.93	18 Sep 2026
Woolworths ^{28a}	WOW.AX	Sell	A\$38.23	18 Sep 2026
Wynn Macau	1128.HK	Neutral	HK\$5.15	18 Sep 2026
Zee Entertainment Enterprises ²⁰	ZEE.BO	Sell (CBE)	Rs78.60	18 Sep 2026
Zhejiang Dingli Machinery	603338.SS	Buy	Rmb54.14	18 Sep 2026

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